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|---|---|
| **Type of Document** | Standard Operating Procedures (SOP) |
| **Required For** | Approval |
| **Data Classification** | For Internal Use Only |

ALLIANCE BANK

# STANDARD OPERATING PROCEDURES FOR CONVENTIONAL BUSINESS DEPOSIT PRODUCT

**Business Deposits**

*30 June 2024*

| CONVENTIONAL BUSINESS DEPOSIT PRODUCT SOP | |
|---|---|
| **Prepared By:**<br>Kelvin Ting<br>Name: Kelvin Ting Yi Hao<br>Designation: Business Deposits, Group SME & Commercial & Transaction Banking<br>Date: 19/6/2024 | **Reviewed By:**<br>Name: Wong Kwai May<br>Designation: Head, Product Strategy and Commercialisation, Group SME & Commercial & Transaction Banking<br>Date: 19/6/2024 |
| **Reviewed By:**<br>Signed by Karen Kong<br>on behalf of Lizawati<br>RE_ _For Review & Concurrence_ MN10<br>Name: Lizawati binti Halim<br>Designation: RCO, Group SME & Commercial & Transaction Banking<br>Date: 20/6/2024 | **Reviewed By:**<br>RE_ _For Review & Concurrence_ MN10<br>Name: Ng Chai Leng<br>Designation: RCO, Group Corporate Banking and Capital Markets<br>Date: 24/6/2024 |
| **Concurred By:**<br>RE_ _For Review & Concurrence_ MN10<br>Name: Chap Kar Hin<br>Designation: Head SME Sales Management, Group SME & Commercial & Transaction Banking<br>Date: 24/6/2024 | **Concurred By:**<br>RE_ _For Review & Concurrence_ MN10<br>Name: Sean Boon Zee Jiun<br>Designation: Head Deposit Sales BANCA & FX, Group SME & Commercial & Transaction Banking<br>Date: 24/6/2024 |

| | |
|---|---|
| **Concurred By:**<br>RE_ _For Review & Concurrence_ MN10<br>Name: Kenneth Teh Chun Phern<br>Designation: Head Commercial Business Management, Group SME & Commercial & Transaction Banking<br>Date: 24/6/2024 | **Concurred By:**<br>RE: [For Review & Concurrence]...<br>Name: Kevin Shum Khai Yeap<br>Designation: Head, Digital SME, Group SME & Commercial & Transaction Banking<br>Date: 21/6/2024 |
| **Concurred By:**<br>RE_ _For Review & Concurrence_ MN10<br>Name: Irene Che Ching Siew<br>Designation: Head Corporate Deposit, Group Corporate Banking and Capital Markets<br>Date: 21/6/2024 | **Concurred By:**<br>RE_ _For Review & Concurrence_ MN10<br>Name: Samuel Paul<br>Designation: Head, Transaction Banking, Group SME & Commercial & Transaction Banking<br>Date: 24/6/2024 |
| **Approved By:**<br>Re_ _For Approval_ _ Revision of MN100<br>Name: Raymond Chui Keng Leng<br>Designation: Group Chief SME, Commercial Banking & Transaction Banking Officer<br>Date: 25/6/2024 | **Approved By:**<br>Approve_ _For Approval_ _ Revisior<br>Name: Teoh Chu Lin<br>Designation: Group Chief Corporate Banking and Capital Markets Officer<br>Date: 25/6/2024 |

Policies In The SOP (if any)
( ) Yes
( X ) No
Approved By:
Shariah Committee # _____ dated _____ *<For Shariah-related matters>*
GRMC / GAC / GNRC meeting # _____ dated _____
ABMB / AIBB / AIS Board meeting # _____ dated _____

| Version Control: | |
|---|---|
| **Version No** | **Date** |
| **1.0** | **15 April 2024** |
| **1.1** | **30 June 2024** |

## A. SUMMARY OF CHANGES TO THE EXISTING DOCUMENT

| No. | Existing | Revised | Remarks/Reasons of Change |
|---|---|---|---|
| 1 | Section 2.1 Roles & Responsibilities<br><br>Sales Staff (Relationship Managers/ Business Wealth Managers) | Section 2.1 Roles & Responsibilities<br><br>Sales Staff (Relationship Managers/ Business Wealth Managers/Corporate Deposit Sales) | Include Corporate Deposit Sales under Sales Staff |
| 2 | NIL | Sub-Section 5.2.5 Accounts Opened for Trust Companies | Added the account opening process for Trust Companies |
| 3 | Sub Section 5.2.6 Offsite Account Opening<br><br>c. 1) Key Process/Remarks<br><br>Witnessing and verification of all documents and signature.<br><br>The authorized GSMECTB staff is allowed to become witness / verifier of all relevant documents as per the Authority Matrix. | Sub Section 5.2.6 Offsite Account Opening<br><br>c. 1) Key Process/Remarks<br><br>Witnessing and verification of all documents and signature<br><br>The authorized GSMECTB / Corporate GCBCM staff is allowed to become witness / verifier of all relevant documents as per the Authority Matrix. | Include Corporate GCBCM staff to verify the documents for corporate customers |
| 4 | Sub-section 5.3.1(c)<br>Print out the Application Summary from the Web Tracker | Deleted | Delete this sub-section as the process has been removed |
| 5 | NIL | Appendix 5.20 Trust and Legal Arrangement | Added the TLA training slide for reference |

**B. SELF RISK ASSESSMENT BY DOCUMENT OWNER**

| No. | Risk Type | Risk Description | Mitigation / Control |
|---|---|---|---|
| 1 | External Fraud Risk | Risk of branches inadvertently opening account for blacklisted customers. | During creation of CIF for new to bank customers via BDS, the system will check the customer's identity document against the Internal Blacklist and prompt for supervisor override when matched. When this happens, a guide to decision making whether to override and thus proceed to on-board/open account for the customer is appended in Appendix 3.2 |
| 2 | Compliance Risk External | Risk of non-compliance to FATCA and CRS | Responsible Officer opening the account is to ensure that the consolidated FATCA and CRS self-certification form is completed. |
| 3 | External fraud Risk | Risk of MyKad provided by customer is faked. | Attending Staff is required to perform MyKad verification via the MyKad Reader and print out the report. He is to take a picture of this report using the tablet camera to capture it in the DBOS system as in Section 5.3.1 |
| 4 | Internal Fraud Risk Reconciliation Risk | Risk of debit card being missing or unaccounted for. | The debit card custodian is to reconcile the debit card using Card Inventory Register against the application forms / **SRF** for non-DBOS issued debit cards and the Debit Card Issuance Report emailed by the Attending Staff as in Section 5.3.1 |
| 5 | Data Integrity Risk | Wrongly input of data can lead to a major roadblock in achieving business objectives e.g. incorrect addressed increase mail costs for a bank. | CIF creation maintenance reports are checked by another officer to ensure accuracy. |
| 6 | Compliance Risk External | Failure to comply with any restriction or condition of approval or failure to comply with any direction of BNM may lead to penalties and loss of reputation | Guidelines and procedures in place (Section 7) to ensure branch staff are aware of and comply with the Foreign Exchange requirements. |

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**APPENDICES**

| SECTION | APPENDICES |
|---|---|
| Section 1 | NIL |
| Section 2 | 2.1 Approval Authority (CSD CAPEX and OPEX, Operations Exceptional, Non-Indi etc.) |
| Section 3 | 3.1 List of IBL Codes and Their Owners<br>3.2 CIF Decision Making Guide For Account Opening with Internal Blacklist (IBL) Record Matched |
| Section 4 | NIL |
| Section 5 | 5.1 High Risk Countries<br>5.2 Invalidation Technique<br>5.3 Declaration for Opening of FCA by Resident Individual<br>5.4 KYC Script<br>5.5 BDS Conventional eForm (Indi and Non-Indi)<br>5.6 FATCA / CRS Related Forms – W8BEN, W9 and W8BEN_E<br>5.7 Universal Business Banking Form (UBBF)<br>5.8 Common Reporting Standards (CRS) Definitions<br>5.9 CRS Entity – Process flow & How to Complete the Form<br>5.10 CRS Frequently Asked Questions<br>5.11 List of Business Unit Codes (BUC)<br>5.12 List of BNM Counter Party Codes<br>5.13 A List of Native for Sabah and Sarawak<br>5.14 Enhanced Due Diligence (EDD) Form<br>5.15 Third Party Mandate<br>5.16 All in One Form (AIO)<br>5.17 How to Perform Teller Status 64 Maintenance<br>5.18 Service Request Form (SRF)<br>5.19 Confirmation of Accuracy of Corporate Information – Non-individual Deposit Account Opening (Customer Declaration Form)<br>5.20 Trust and Legal Arrangements (TLA) |
| Section 6 | NIL |
| Section 7 | 7.1 FEP Notices<br>7.2 Rules Applicable to Residents Account Transaction<br>7.3 Rules Applicable to Non-Residents<br>7.4 Guide to Maintain Teller Status Maintenance at Host<br>7.5 Exception Report FCA Tagging<br>7.6 Sources and Uses of Funds into / from Trade Foreign Currency Account (FCA) and Investment FCA |

## SECTION 1 – INTRODUCTION

### 1.1 Purpose and Scope

1.1.1 The Conventional Business Deposit Product Standard Operating Procedures contains procedures, duties and responsibilities of the officers performing the job function pertaining to conventional business deposit products operations and contains the activities and requirements to perform and the relevant policies relating the said functions to follow to ensure that the bank and the customers' interests are protected at all times.

1.1.2 This document is applicable to Alliance Bank Malaysia Berhad (ABMB) by virtue of the Service Level Agreement (SLA) with ABMB on services provided by ABMB.

1.1.3 The areas covered are found in the Contents List and all staffs must be guided by the procedures mentioned herein.

1.1.4 The Conventional Business Deposit Product SOP must be read together with all relevant aspects of the law and practice of banking in mind and in conjunction with guidelines from Bank Negara Malaysia (BNM) and other regulatory authorities, Association of Banks in Malaysia (ABM), ABMB's Anti-Money Laundering & Counter Financing of Terrorism Procedures Manual, other rules and regulations from internal circulars (including SPI's) and directives from Head Office, together with the relevant system user guides.

### 1.2 Update and Review

1.2.1 The review of this document is undertaken by Transaction Banking - Business Deposits team once every two (2) years or as and when material changes are to be made.

### 1.3 Confidentiality & Control

1.3.1 This document is issued by Head Office and is the property of Alliance Bank. Business Unit (Corporate, Commercial and SME Banking) and Branch Operations must ensure that the Responsible Staff and their subordinates have access to this document and are aware of the procedures and rules contained herein.

1.3.2 The Conventional Business Deposit Product SOP is published electronically by Head Office and may be obtained from the Bank's knowledge portal.

1.3.3 This document must be treated as highly confidential and is for internal use only. It must be emphasized that the Information obtained from this document must not be divulged in any form or means to any other persons. A breach of this rule will result in disciplinary action against the staff concerned.

### 1.4 Inspection

1.4.1 This document must be made available for inspection by the visiting teams from Group Compliance, Group Internal Audit, External Auditors and Bank Negara Malaysia Inspectors upon request.

## SECTION 2 – FUNCTION/ROLES AND RESPONSIBILITIES

### 2.1. Roles & Responsibilities

The roles and responsibilities of the branch personnel in relation to the processes in the Conventional Business Deposit Product SOP are found under the column Responsible Party in the detailed Step-Action process flows and other areas in this SOP.

| No. | Roles | Activities |
|---|---|---|
| 1. | Business Deposits Product | To ensure aspects pertaining to the Conventional Business Product is adhered to and ensure that prompt and accuracy of operational process. |
| 2. | Branch Staff | Service & Operations Manager (SOM)<br>• Responsible for the day-to-day operation efficiency<br>• Maintaining service quality and operations control<br>• Monitor asset quality<br>Service & Operations Executive (SOE)<br>• Middle & Back Office<br>• As Chief Cashier managing daily branch's cash holdings, balancing, loading of machines and transactions<br>• Support front & back end operations<br>Service & Operations Officer (SOO)<br>• Client Facing – Teller/Chief cashier<br>• Perform various tasks at the counter as a counter teller in accordance to the standard operating procedures/ policies / guideline.<br>• Support front & back end operations<br>• Chief Cashier / Relief Chief Cashier.<br>Service & Operations Clerk (SOC)<br>• Client Facing – Teller<br>• Attend to walk in customer's enquiries and service requests.<br>• Assisting customers in their banking needs |
| 3 | Cluster Operations Head (COH) & Branch Operation Head (BOH) | • Provide approval towards operational processes<br>• Liaise with branch staffs to provide latest instruction or documentation |
| 4 | Sales Staff (Relationship Managers/ Business Wealth Managers/Corporate Deposit Sales) | • Client Facing<br>• Attend to new business customers and assisting in their banking needs<br>• Provide relevant instruction or request to branch staff for maintenance upon approval |

### 2.2. Approval Authority of Cluster Operations and Sales Heads

- For greater operational efficiency, the SOM, COH, BOH and Head, Customer Segments & Distribution are empowered to approve in area of;
  - Operations, e.g. operational decision making, approval authority for AMLA and account opening related matters.
  - Financial e.g. CAPEX, OPEX, Operations Loss, Staff Claims etc

  Refer to **Appendix 2.1** for the following:

  - Customer Segments & Distribution Approval Authority for operations approval and financial related matters approval authority.
  - Customer Segments & Distribution (CSD) Approval Authority Matrix
  - Group SME and Commercial Banking AML High Risk Approval Authority.
  - Group Corporate and Transaction Banking AML Approval Authority.

## SECTION 3 – CUSTOMER INFORMATION FILE

### 3.1. What is Customer Information File (CIF)?

3.1.1. Customer Information File (CIF) is an application and data base file in the ARBS Host system that provides all information concerning a customer except for credit card information.

A customer's credit card information is not found in the Host system but resides in another system (the ASCCEND credit card system). Hence a customer may have CIF in both HOST and ASCCEND if he has both credit card and one or more of the products residing in Host, e.g. Current Account, Savings Account, Fixed Deposit, Safe Deposit Box or loans.

CIF in these Procedures refer to the HOST CIF and not ASCCEND CIF as this SOP is meant for deposit products.

3.1.2. It provides the linkage between all the accounts belonging to a particular customer. The CIF link enables inquiry to begin with a comprehensive overview of the customer based on the latter's name and then progress to inquiry on the customer's specific account(s).

This link may also be used in a reverse manner, i.e. when we know the account number we may use it to obtain the customer's CIF Number and the proceed to access his other account(s) except for credit card.

3.1.3. Each customer has a record in the CIF which contains only information about the customer relevant to that customer (i.e. customer-level information). It does not contain any account information.

3.1.4. The main features of the Customer Information File are as follows:

a. A CIF number is automatically assigned to a customer.

b. Any non-credit card account opened by a customer is linked to his CIF number.

c. One customer may only have one CIF number but may have many accounts.

d. An individual/non-individual who does not maintain any account with the bank may have a CIF number if there is a secondary relationship between the former and the bank's customer, for example mandate, authorized signatory, guarantor, solicitor, beneficial owner etc.

e. There is a primary account holder (Primary CIF) for each account. There may be other secondary relationship linked to an account.

f. It contains a customer's alias name (if any).

g. It keeps track of the blacklisted customer.

h. It also stores the (Foreign Account Tax Compliance Act) FATCA and track of the customer information disclosure status.

3.1.5. There are two types of CIF:

a. CIF of customers who maintain account(s) with the Bank.

This category of CIF includes customers who maintain Savings, Current, Fixed Deposit, Loan Account etc with the Bank.

b. CIF of business who does not have any account with the Bank but have a secondary relationship with the account holder, e.g. directors / signatories of companies, guarantor, solicitor, mandate, beneficial owner etc.

## 3.2. CIF Creation

3.2.1. New CIF is created for the following reasons:

- Opening of an account or application e.g. Current, Fixed Deposit, loans application etc.
- To link the individual with secondary relationship to the customer.

This section details the steps to be taken for creation of new CIF at branches. As such, only the CIF creation portion is described below. This section is to be read in conjunction with the respective product manuals and system user guides for the end to end process for account opening and exception handling process of MyKad issues during account opening.

3.2.2. An identification document together with the relevant supporting documents must be produced e.g. the original MyKad for Malaysians or passport for foreigner. For MyKad the verification report is printed by the BDS as part of the eForm. For other identity documents, a photocopy of this document must be duly taken and the photocopy stamped "Original Sighted" and initiated by the Attending Officer for record purposes. Where a customer submits documents containing personal information in support of the application for services/facilities with the Bank, such documents are to be invalidated to deter their unauthorized usage while under the Bank's retention/custody. Please refer to Section 5 Account Opening.

3.2.3. CIF Creation to be performed at BDS and DBOS AML Screening

a. All new Business CIF creation for current and fixed deposit account opening are to be performed: -

- in BDS eForm (Appendix 5.12) and DBOS AML Screening – CA and FD ; or
- via DBOS (Digital Banking On-boarding System) – CA only

Please refer to Section 5 Account Opening for account opening process flows.

b. The name for the authorised contact person in the CIF should follow the name on the identification document (except cases where the name is too long to fit into the system and hence need to be shortened) excluding any titles or salutations.

(i) For Malaysian, the name to tally with the MyKad /JPN Birth Certificate/ MyTentera.

(ii) For China (Hong Kong, Macau)/Taiwan/South Korea/Japan nationals where the Surname, given name is stated on the Passport - record name in the following order –Surname follow by Given name.

(iii) For other foreign nationals, where the Surname, given name is stated on the Passport, record name in the following order – Given name (first), Middle name (if any), Surname (last).

(iv) For any nationals Passport that did not state the i.e. Surname, given name, record the name as per the Passport name order

3.2.4. Search for CIF before Opening an Account

a. Prior to opening an account, the BDS front end system or DBOS will search at the Host System to determine if the customer already has an existing Customer Information File (CIF).

b. If there is none, a new CIF will be created either under DBOS Non-Indi or DBOS AML Screening. Each party to the account including all account holders and joint account holders must be recorded in the Account Application Form where the latter is manually completed.

BDS will not allow new CIF creation where the subject already has an existing CIF. System will perform a match on ID number. If match is positive, then CIF creation will be rejected.

c. Customer with Existing CIF/Accounts

(i) If the customer already has an existing CIF, the front end system will prompt user that the name and IC number already exist.

Upon receiving such message, check that it is the same customer and not separate entity having similar names but different ID numbers or vice versa.

Do no override and create a new entity CIF where the customer already has a CIF with exception for solicitors, real estate agents. Solicitor/legal and real estate

firms may have two or more CIF, one for the office account and the other(s) for the client's account(s) due to the following reasons:

- Different ownership of funds in the office and client's account (there may be more than one client's account depending on the ownership of the funds therein).
- Cheque book printing.

(ii) Existing Account/CIF with another Branch

The attending staff must be prudent when handling such request for opening of new accounts at the branch where there is already existing CIF/Accounts in the system e.g. inquire from customer whether he needs a new account since he can perform inter-branch transaction.

d. Issue which May Arise Out of One Customer Having Two or More CIFs

(i) The general principle is that one entity **should have only one CIF** with the exception of solicitors, real estate agents.

However, there are cases of customer having two or more CIF due to various reasons e.g. account opening staff inadvertently created a new CIF although the customer already have an existing CIF; customer having one CIF under old business registration number and another one under the new business registration number.; misspelled the names due to typo errors during data entry etc.

The main impact of a customer having two or more CIFs is data integrity/accuracy. As a result, the following issues may arise:

- Data integrity - the CIF database would not be clean thus leading to inaccurate reporting.
- We will not be able to see all the accounts linked to that particular customer as the accounts are not linked to one CIF but are spread over CIFs.
- It complicates the tracking of customer's accounts.

  For example, when the branch receives a court order, AMLA freezing order, declared bankrupt/winding up, customer deceased etc. or other instructions to freeze a certain customer's accounts, we may miss out some of the accounts as they are linked to different CIFs although they belong to the same customer.

- The process to normalize duplicate CIF is long and may involve several parties at branch(s), Customer Segments & Distribution and other Head Office departments.

- The duplicate CIFs take up additional storage space in the computer system.

e. Opening New Accounts with another Branch

The Responsible Staff must be prudent when handling request for opening of new accounts at the branch where there is already existing CIF/Accounts in the system.

Tactfully inquire from the customer whether he/she/they already have any account(s) with the Bank. If yes, would the new account be required since the customer may perform inter-branch transactions and/or use our Self Service Terminals or /internet banking.

If the customer still requires the new account, would the customer like to close the existing account(s) and transfer to the new account? Note that in the case of Fixed Deposit accounts, pre-mature upliftment may result in loss of interest so it would be advisable to only transfer upon maturity unless customer do not mind this loss of interest.

Where the customer's MyKad is not used or validated through the MyKad Reader, a copy of the specimen card and identity document of the customer maintained with the existing domicile branch must be obtained for comparison to avoid opening of account for different party but linking it to the original CIF holder existing in the system.

f. Exceptional

A report will be generated to the servicing branch on the next day if the account was opened under duplicate CIF. The Responsible Staff must be prudent when checking of the report and performs CIF normalization if needed. Justification must be annotated onto the report if CIF not normalized, i.e. solicitor office account, solicitor client

account. The duplicate CIF information will be reflected in the exceptional report for 90 days and will be excluded from the report once CIF normalized.

DATE PRINTED: 08/10/19 10:56:35
ALLIANCE BANK MALAYSIA BERHAD Branch code: XX 08/10/19 **CFA109P** PAGE 1
BRANCH: XXX
**Duplicate CIF – Individual & Non-Individual**

| CIF NUMBER CIF | CUSTOMER ID | CUSTOMER NAME | DATE BIRTH/ REGISTRATION | REASON OF DUPLICATE CREATION |
|---|---|---|---|---|
| XXXXXXXX | XXXXX | XXXXXXXX | 22/01/84 | OFFICE ACCOUNT |
| XXXXXXXX | XXXXX | XXXXXXXX | 15/10/70 | |
| XXXXXXXX | XXXXX | XXXXXXXX | 14/06/06 | CLIENT ACCOUNT |

Summary Count: 3

**End of Report **

3.2.5. Tagging of EXT for External Accounts

Branches are required to add the term EXT to the suffix in Host for when opening external accounts via BDS or DBOS

### 3.3. CIF Normalization

3.3.1. In cases where a customer has two or more CIFs, the branch needs to normalize to one CIF and delete the rest due to issues which may arise from multiple CIFs.

3.3.2. From time to time2, housekeeping exercises may be performed to clean up duplicated CIFs. The Initiating Party will email branches with the list of suspected duplicated CIFs for branches to check and decide which CIF's to keep and which CIF's to delete.

**Note**: CIF normalization process will include checking for Loan and Overdraft account, Loan application with collateral when determining which CIF to select for normalization.

| # | Task | Responsible Party |
|---|---|---|
| 1 | Upon receipt of email instructions from the Initiating Party, determine which CIF to keep and which CIF(s) to delete based on the guidelines below and forward to Responsible Officer(s) for the latter's action.<br><br>a. Review the duplicated CIFs portfolio based on the following general guidelines to determine on which CIFs to be deleted or retained.<br>Preferably keep CIF which has one or more of the tagging below:<br>• Internet Banking – AOP / AOB<br>• ATM/ Debit Card<br>• Unit Trust, Share Margin Unit Refinancing (SMURF)<br>• Trade User | SOM |

<table>
<tr><th>#</th><th>Task</th><th>Responsible Party</th></tr>
<tr><td></td><td>
<ul>
<li>Treasury Customer (Y/N)</li>
<li>VIP Code (i.e. Privilege Banking)</li>
<li>Deposit product</li>
<li>Loan facility</li>
<li>AA (Application Account Relationship tagging)</li>
<li>collateral</li>
</ul>
b. To retain the CIF with loan facilities followed by the most number of accounts linked with it.
<table>
<tr><th>CIF 1</th><th>CIF 2</th><th>Final CIF to maintain</th></tr>
<tr><td>No Loan Account</td><td>With Loan Account</td><td>2</td></tr>
<tr><td>With Mortgage Account</td><td>With Personal Load Account</td><td>1</td></tr>
<tr><td>With SME Account</td><td>With Mortgage Account</td><td>1</td></tr>
<tr><td>No Loan Account</td><td>With Chargor Tagging</td><td>2</td></tr>
<tr><td>With AA tagging</td><td>With No AA tagging</td><td>1</td></tr>
</table>
c. Choose the first CIF that was created if above are not applicable.
</td><td></td></tr>
<tr><td>2</td><td>Check that the duplicated CIFs are for the same entity and are indeed duplicated.<br><br>If there are for different entity, e.g. business with same name but different business registration number, inform SOM accordingly.</td><td>Responsible Officer</td></tr>
<tr><td>3</td><td>Print screen the correspondence address(s) of the account(s) linked to the CIF(s) to be deleted.<br><br>Note:<br>Where a CIF is deleted, the correspondent address of the account(s) linked, system will auto change the correspondence address of these account(s) to that of the CIF to which it will be normalized to.</td><td>Responsible Officer</td></tr>
</table>

<table>
<tr><th>#</th><th>Task</th><th>Responsible Party</th></tr>
<tr><td>4</td><td>Compare the PDPA flag in the Customer Relationship Management (CRM) System for all the duplicated CIF.
<table>
<tr><th>Flag Status</th><th>Action Required</th></tr>
<tr><td>All the flags are the same.</td><td rowspan="2">No further action required</td></tr>
<tr><td>The flag maintained in the CIF to be retained is the latest.</td></tr>
<tr><td>The flag maintained in the CIF to be retained is not the latest.</td><td>Raise SRF (Appendix 5.18) to maintain the latest status in the CIF to be retained.</td></tr>
</table></td><td></td></tr>
<tr><td>5</td><td>Obtain approval from SOM/Relief.</td><td>Responsible Officer</td></tr>
<tr><td>6</td><td>Evaluate and approve the request.</td><td>SOM/Relief</td></tr>
<tr><td>7</td><td>Upon obtaining approval from the SOM, forward the email to IS Help Desk via CRM as follows:
<table>
<tr><th>SR Type</th><th>Request</th></tr>
<tr><td>Product Category</td><td>CASA</td></tr>
<tr><td>Problem Type</td><td>CIF Normalization_SPM</td></tr>
</table>
Note:<br>All branches are allowed to perform CIF Normalization regardless of CIF creation branch.</td><td>Responsible Officer</td></tr>
<tr><td>8</td><td>Log in the request and forward it to System Support, Group Operations for further action.</td><td>IS Help Desk</td></tr>
<tr><td>9</td><td>System Support Team will attend the CIF Normalization request. In addition to the current checking in place, the below are checking to be conducted.<br><br>To review request submitted and conduct the following checking:<br><br>• CIF to delete for any products or facilities tagged.<br>• Additional checking on the scenarios specified below.<br><br><u>Scenario 1</u><br><br>‘CIF 1 to delete’ tagged to AA and without account<br>‘CIF 2 to retain’ tagged to other product (AOP/ AOB/ TF/ SMURF/ Treasury/ UT)</td><td>System Support</td></tr>
</table>

| # | Task | Responsible Party |
|---|---|---|

| Steps | Action |
|---|---|
| 1 | If customer's CIF 1 is tagged to AA and without account, system support to check if CIF 2 is tagged to other product (AOP /AOB /TF / SMURF/ Treasury/ UT). |
| 2 | If there are products tagged to CIF 2, system support to send email request to the relevant business units (eBanking, Treasury, Unit Trust, Stock Banking) to check if other products are active. |
| 3 | **2 possible outcomes:**<br><br>a) If products tagged to CIF 2 are inactive, business unit to change product indicator tagging from 'Y' to 'N' in HOST and system support to request branch change normalization instructions indicating the new CIF to delete and retain.<br><br>b) If products tagged to CIF 2 are active, system support to **reject SR** due to CIF 1 tagged to AA and CIF 2 tagged to active products. |

**<u>Scenario 2</u>**

'CIF 1 to delete' tagged to AA/ Loan Account / Over Draft
'CIF 2 to retain' tagged to AA/ Loans

| Steps | Action |
|---|---|
| 1 | If customer's CIF 1 is tagged to AA/ Loan account/ Over Draft, system support to check if CIF 1 is tagged to any product (repeat steps in scenario 1).<br><br>If CIF 1 has products (AOP/ AOB/ TF/ SMURF/ Treasury/ UT), refer to **Scenario 1**.<br><br>If CIF 1 has no products (AOP/ AOB/ TF/ SMURF/ Treasury/ UT), proceed to **Step 2**. |

| Steps | Action |
|---|---|
| 2 | If both CIF 1 and 2 tagged to AA/ Loans/ Overdraft Account;<br><br>a. System Support to proceed with CIF normalization.<br>b. To informs branch and relevant business units to perform necessary retagging of collateral from CIF 1 to CIF 2. |

| # | Task | Responsible Party |
|---|---|---|
| | c. Relevant Business units are:<br>• Group SME, Commercial & Transaction Banking<br>• Group Corporate Banking and Capital Markets<br><br>**Note**:<br>Respective business unit to manually tag the 'Old CIF' to the collateral or AA so that the Loan can be released. This step is performed after CIF deleted and business will be informed via email from System Support team.<br><br>Perform normalization and advise that branch that the normalization has been done and to request that the latter to delete the duplicated CIF(s). | |
| 10 | Check the correspondence address(s) of the account(s) linked to the CIF(s) to be deleted. Perform address maintenance where necessary.<br><br>This to ensure that the correspondence address for the customer accounts before is the same as that after the normalization to ensure there is no disruption to sending of statements/notices pertaining to that account. | Responsible Officer |
| 11 | Inform SOM to delete the CIF(s) to be deleted. | Responsible Officer |
| 12 | a. Check whether there is still any account(s) linked to the CIF(s) to be deleted.<br>If yes, inform System Support according to rectify.<br><br>b. Ensure that all the mandatory information is updated accordingly.<br>Examples<br>• ID number (12 digit identity number for Malaysians)<br>• Race<br>• Gender<br>• Residential status<br>• Standard industry code<br>• Job position<br>• Contact number<br>• PEP<br>• Customer Disclosure Flag<br><br>c. Delete the CIF(s) in the Host. | SOM/Relief |

| # | Task | Responsible Party |
|---|---|---|
| | **END** | |

### 3.4. Internal Black List

3.4.1. The Host system has a function to allow users to maintain the Bank's internal blacklist (IBL) of customers.

3.4.2. It is used to maintain a database of individuals and non-individuals that require exceptional handling upon receipt of account opening, credit card or loan application by the former. These IBL records are uploaded to GLOS and AIBB TRACS system daily. Please refer to Appendix 3.1 for the list of IBL codes and their owners.

3.4.3. During CIF inquiry via the front-end Branch Delivery System (BDS) and account relationship maintenance in the Host, system will check the customer's identity numbers whether it matches with the CIF Listed Customer File (CFBLST). When there is a Name Match and/or ID Number Match, a message will be prompted on the BDS/Host screen to the teller to prompt for supervisor override.

Refer to the guide on decision making for account opening in event both name and ID number matches to guide the branch staff and Cluster Operations or Sales Head on whether to accept or reject the account opening.

Should the customer record match the blacklisted records and branch wishes to proceed with the transaction for reason code under "Reject" decision, branch must seek approval from the Approving Authority before proceeding with the supervisor override.

The Blacklisted database is meant for internal use only. Hence, Branches must not inform customer that they are blacklisted. System will handle for IBL related to DBOS system and IB2G; refer to SOP MN0831 Standard Operating Procedures for System and Policy Management, section 5.5 for details.

3.4.4. Starting from December 2022, Internal Blacklist (IBL) used by Group Compliance, including Sanction (AM), Mule Account (MA), Compliance Monitoring (CM), Unauthorized Companies (UC) and Political Exposed Person (PE) have been migrated to iMatch. Thus, IBL screening via Host for these 5 codes is no longer mandatory. However, IBL screening for other codes is encouraged to guide the staff to make decision to on-board or to reject account opening.

### 3.5. Cessation of Politically Exposed Person (PEP) Status

3.5.1. Where a customer is no longer holding a PEP position due to retirement or change of company (e.g. retired politicians or shareholders/directors who are PEP and have left the

company). Branch/Business units may consider a cessation of the customer's PEP tagging.

3.5.2. Branch shall consider the following factors in determining whether the status of a PEP who no longer holds a prominent public function should cease:

a. The level of informal influence that the PEP could still exercise, even though the PEP no longer holds a prominent public function; and

b. Whether the PEP's previous and current functions, in official capacity or otherwise, are linked to the same substantive matters.

3.5.3. Branch is required to document the justification for cessation of PEP status and to inform Group AML/CFT.

3.5.4. Once Group AML/CFT agree with the cessation of PEP status, the Branch are to complete the ODD/trigger event review and obtain the approval as respective LOB approval matrix.

**3.6. CIF Maintenance**

3.6.1. CIF Maintenance after account opening.

Branch to perform maintenance in HOST. Email to CIF home branch for IBT CIF maintenance.

**3.7. CIF Deletion**

3.7.1. There are occasions where CIF are to be deleted e.g. duplicated CIF which have been normalized or CIF created for New to Bank account opening applicants whose application

was rejected due to high risk rating and/or Politically Exposed Person (PEP), US persons or other reasons.

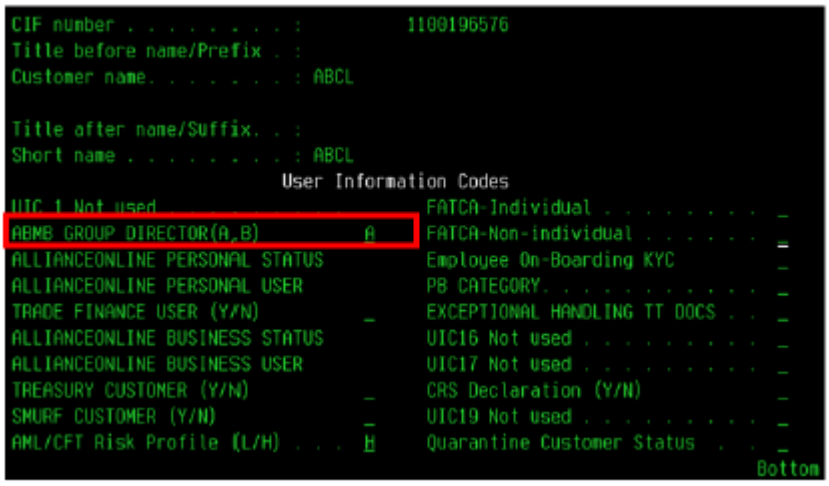
3.7.2. The deletion is to be performed by the SOE/SOO/SOM in the Host system.

### 3.8. Constitution Code for ABMB Group Director in ARBS Host System

3.8.1. Staff always maintain, rename and standardize the entity director (Non-Executive Director) from Constitution Code;

From “X” – Staff OR “I” – Individual

TO “GE” – GRP OTH – DIR/EMP/REM.




3.8.2. New field to further identify the type of Director under CIF (UIC 2 filed) for category

a. Value A – ABMB/AIS/AIBB Executive Director

b. Value B – ABMB/AIS/AIBB Non-Executive Director

## SECTION 4 – CONVENTIONAL BUSINESS DEPOSIT PRODUCTS

### 4.1 Product Overview

Conventional Business deposit products available at branches for account opening are as follows.

| # | Type of Account | Products |
|---|---|---|
| 1 | Current Account | • Basic Current Account<br>• Business Current Account<br>• Foreign Currency Current Account<br>• HDA Current Account<br>• ESCROW Current Account<br>• Debt Service Reserve Account |
| 2 | Fixed Deposit | • Fixed Deposit<br>• Foreign Currency – Fixed Deposit |

For latest Terms and Conditions, staff may refer via Bank's corporate website link:
https://www.alliancebank.com.my/Business/SME/Banking/Business-Current-Account

## SECTION 5 – ACCOUNT OPENING

### 5.1 Introduction

5.1.1 A Current Account or Fixed Deposit Account can be opened:

- By the applicant(s) being present personally at the branch.
- By the sales staff at an offsite location.
- Online by existing customer (certain products only)

This SOP will only cover the opening of account over the counter and at offsite location. For online account opening, staff may refer to Bank's corporate website link:- https://www.alliancebank.com.my/Business/SME/Banking

5.1.2 DBOS and BDS

Branches are to open CA/ account using the tablet – based DBOS (Digitally Banking On-boarding System) system and only use BDS and DBOS AML Screening where it is not possible or practical to do so due to product/option not available in DBOS or other reasons.

### 5.2 Account Opening at Branches

5.2.1 Coverage

a) This section covers the following:
- BDS Account Opening over the counter at Branch via BDS eForm and DBOS AML Screening
- Issuance of Debit Card and PIN Mailer
- Streamlining Opening of Account for Non-Individuals
- Account Opening for Card Merchants, Loan Disbursement & Escrow Account
- Opening Account for Internal Use
- Offsite Account Opening
- Exceptional Handling for Account Opening for Press Metal Bhd at Bintulu Branch
- Validation of Data for Accounts Opened at Branches

b) **<u>AML/FT Risk Profiling For Non-Individual New Account Opening</u>**

EDD is not required to perform for business's individual during non-individual new account opening. The assessment will be performed via an automated process, which is supported by the requirements and risk profiling mechanism as per AML/CFT system

**Note:**
- The AML risk rating for all other individuals shall follow the iMatch system default risk rating and the assessment shall be carried out should they subsequently sign up any of the Bank's personal products.
- Branch must check the latest information provided by the RMs which are stated in the account opening form against HOST. If there are any changes, branch to update the Host as per the information provided. No SRF required to update employment details & 5 critical fields (SIC, JP, PEP, Nationality and Counter Party Code) –

Branch to confirm with RM if ETB Counter Party Code is different with latest declaration. Other information requires SRF to be signed by customer, especially for sensitive information such as address, contact number and email address.

- The Customer's risk profile will be assessed yearly for high risk customer & every 3 years for medium risk customer & every 5 years for low risk customer.
- Business account's beneficial owner, director & authorized signatory. NPO's authorized signatory or office bearer.

**Important:**

High Risk Countries / Designated Sanctioned Countries – Staff perform account opening shall be alert on high-risk countries, refer to the Appendix 5.1 – High Risk Countries.

5.2.2 BDS Account Opening over the counter at Branch via BDS eForm and DBOS AML Screening.

Effective 18 Dec 2022 BDS Account Opening will require DBOS BDS CIF application to perform CIF Creation and account creation via BDS Transaction Code.

Branches are to adopt the process below for BDS and DBOS AML Screening account opening account over the counter.

| # | Task | Responsible Party |
|---|---|---|
| 1 | Approach the branch counter to open account. | Applicant(s) |
| 2 | <u>Eligibility</u><br><br>Check whether the applicant(s) is/are eligible to open a Current or Fixed Deposit Account based on the following criteria.<br><br>Note: Staff must first offer basic current account to applicant.<br><br><u>Who can open a Current or Fixed Deposit?</u><br><br>a. Current and Fixed Deposit Account (Ringgit) may be opened by :<br><br>(i) Executors and Administrators<br>(ii) Associations, clubs and registered societies<br>(iii) Business entities such as sole proprietorship, partnership, limited liability partnerships, limited companies (both private and public)<br>(iv) Professionals registered under their respective legislations e.g. real estate agents, surveyors, lawyers, medical doctors etc<br>(v) Government bodies – Federal & State government bodies, statutory bodies etc | Account Opening Staff |

| # | Task | Responsible Party |
|---|---|---|
| | b. Current and Fixed Deposit Account (Foreign Currency Account) may be opened by Resident entity<br><br>c. Basic Current Account<br><br>BCA may also be offered to micro and small enterprises (SMEs) which is eligible according to SME Corp Definition | |
| 3 | <u>Suitability of Product Type</u><br><br>Determine whether the applicant(s) is applying for the correct product. Please refer to Alliance Bank website for the list of conventional products currently being offered.<br><br>Note:<br>The products and their features may be updated from time to time. Please refer to the Bank's website for the latest products and features. | Account Opening Staff |
| 4 | For opening of current account, perform Host Dishonoured Cheque Information Inquiry function (HDC Inquiry) check.<br><br>The Attending Staff at Branches can access the Host Dishonoured Cheque Information Inquiry function (HDC Inquiry) key in the customer's particulars to see if the applicant(s) have the dishonoured cheque record(s). To print HDC Inquiry HOST screen and attach with account opening form with/without record found.<br><br>The SOM must then decide whether to open the account based on the information retrieved from the Host Dishonoured Cheque Information Inquiry function (HDC Inquiry) and the branch relationship with the customer.<br><br>Generally, Branch should not open accounts for customers with three or more records listed on Host Dishonoured Cheque Information Inquiry function (HDC Inquiry) as the Branch may later have a problem account if the account was opened.<br><br>**NOTE**:<br>BDS System will trigger if customer hit IBL code – Dishonoured Cheque (DC) System during onboarding. Overriding by SOM/Relief SOM is required if Branch decide to onboard the customer. | Account Opening Staff |
| 5 | a. Obtain the documentation required for opening of account The Identification document(s) of the customer/office bearers must | Account Opening Staff |

| # | Task | Responsible Party |
|---|---|---|
| | be obtained and verified to prevent establishment of accounts for fictitious beneficiary(s).<br><br>b. Sight all original documents and ensure that a copy thereof is retained in accordance with the procedures mentioned in this section.<br><br>As per the Policy on Data Retention the documents containing personal information in support of application/services with the Bank provided with the customer such as photocopy(s) – not the original document - of identification documents. Please refer to Appendix 5.2 on the invalidation techniques.<br><br>c. Comply with the Documentation Submission Checklist (Appendix 5.3) for non-individuals. Resident company is no longer required to complete the Declaration for Opening of FCA. | |
| 6 | Perform KYC using the KYC script (Appendix 5.4) for preliminary screening prior to keying into BDS.<br><br>Please refer to AML/CFT Procedures Manual Section 4 Customer Due Diligence Procedures. The said manual may be obtained from Group Compliance inAlliance portal. | Account Opening Staff |
| 7 | a. Obtain MyKad for Malaysian and insert the MyKad into the biometric reader to open account using the BDS eForm (Appendix 5.5) Account Opening option. This option allows the automatic extraction of information from MyKad chip with the use of the biometric reader into the BDS.<br><br>The option is also available to select conventional or Islamic account at the point of opening the CA/FD/SA.<br><br>b. If the MyKad cannot be read, request for another identification document bearing the photograph of the holder, e.g. driving license / eDriving License, passport etc. Then key in the details from the MyKad.<br><br>Keep a photocopy of the MyKad (both sides). Invalidate the photocopy of the MyKad as per Policy on Data Retention.<br><br>c. Additional Identification Requirements for New-to-Bank (NTB) Customers with MyKad (applicable to sole proprietorship and partnerships) | Account Opening Staff |

| # | Task | Responsible Party |
|---|---|---|
| | In addition to the current KYC questions and biometric verification, branches are required to obtain a secondary identification document bearing the holder's photograph such as driving license / eDriving License or passport. This document is to be examined for signs of tampering. A photocopy of this document is to be obtained for record purposes.<br><br>Where the person does not have any additional identification documents, e.g. no driving license / eDriving License due to age, the Service and Operations Manager / Relief is to conduct KYC. Account is to be opened only if the interview and KYC is in order. SOM/Relief must sign off the account opening form.<br><br>If there are any grounds for suspicion, e.g. customer appears to be nervous or give incoherent answers, decline the account opening without giving any reason. This is to be reported as an attempted fraud and fraud escalation procedures apply including raising of Loss Event Report (LER) and Suspicious Transaction Report (STR).<br><br>d. Identity identification & verification for Existing-to-Bank (ETB) customer<br><br>(i) The ETB customer's identity has been verified by the Bank during the initial on-boarding process hence the need of obtaining a secondary ID document to validate their true identity is not required unless there is any ground of suspicion on the true identity of the customer.<br><br>**No** / **Action to be Taken**<br>1. • Obtain MyKad and perform Biometric verification for Malaysian and Passport for non-Malaysian<br>• Check for any tampering.<br>• Check that the MyKad/ Passport photo matches the bearer<br>2. • Verify customer's signature to match with Bank's existing record from any of the Current, Savings or FD account.<br>• Proceed to open account if all is in order<br>3. • If attending staff has any ground for suspicion,<br>• Request for ABMB Debit/ Credit card and verify against HOST/ Asccend respectively; | |

| # | Task | Responsible Party |
|---|---|---|
| | | |

| | |
|---|---|
| | **OR**<br>• Request for secondary ID document with photograph i.e. driver's license or passport<br>• Proceed to open account if all is in order<br>• If none of the above is available, refer to SOM/Relief for decision (Step 4) |
| 4. | • SOM to ask 1 static & 1 dynamic question in order to verify the true identity of the customer<br>• Document the verification on the copy of MyKad / Passport as "Verified" and sign-off<br>• <u>If account opening is declined</u>**,** SOM to raise Suspicious Transaction Reporting (STR) and Loss Event Report (LER) due to attempted fraud |

(ii) Examples of Static and Dynamic Questions for identity verification

| Static Questions | Dynamic Questions |
|---|---|
| What is your correspondence address? | When did you last use your Debit Card/Credit Card? |
| What is your mobile/ office number? | Name one type of the banking account you maintain with the Bank. |
| What is your email address? | When were your last ATM withdrawal / CDM deposit? |
| If customer has joint account, what is the name of the joint account holder? | What is your last credit / deposit or debit / withdrawal amount? |
| What is company incorporation date? | If customer has a checking account, when was the last cheque you issued? |
| What is the date of account opened? | When was the last transaction you perform over-the-counter? |

| # | Task | Responsible Party |
|---|---|---|
| 8 | <u>Foreign Account Tax Compliance Act (FATCA)</u><br><br>a. FATCA Assessment<br><br>Perform FATCA assessment to determine the applicant(s) FATCA status and classification and get applicant(s) to complete the appropriate FATCA Form.<br><br>How to Determine \ FATCA status and \ classification for Non-individuals, i.e. business entities:<br>• to complete the Universal Business Banking Form Deposit in which the FATCA requirements have been incorporated.<br><br>Please refer to Appendix 5.6 for the FATCA related forms and Appendix 5.7 for Universal Business Banking Form<br><br>b. Where the new customer is a NOT a US person, recalcitrant, or in the restricted list, Branch may proceed to on-board if all other requirements are in order.<br><br>c. Approval to On-board US Person / Recalcitrant / Restricted List<br><br>For customer who is US person, recalcitrant or in the restricted list<br>• Branch is allowed to on-board US person with prior approval obtain from Head, Branch Operations subject to non-PEP matched.<br><br>•If PEP matched during the on-boarding of US person, approval from GCOO is required as per current approving matrix as in Appendix 2.1<br><br>d. FATCA Tagging<br><br>Tagging is required for all FATCA classifications in the BDS & DBOS for Non-individual accounts<br><br>The following additional information is required | Account Opening Staff |

<table>
<tr><th>#</th><th>Task</th><th>Responsible Party</th></tr>
<tr><td></td><td>
<table>
<tr><th>Type of Customer</th><th>Applicable to</th><th>Information Required</th></tr>
<tr><td>US Person</td><td>Non-individuals</td><td>Tax Identification Number (TIN)</td></tr>
</table>
e. Maintenance of FATCA & CRS for non-individual account's director/authorised signatory/shareholder/beneficiary owner:-<br><br>
<u>With individual account</u><br>
– To upload copy of self-declaration to CPC for HOST updating;<br>
– Otherwise, maintain message "CUSTOMER TO SUBMIT FATCA & CRS DECLARATION FORM" to enable Branch officer to request customer to complete self-declaration form if approach branch.<br><br>
<u>Without individual account</u><br>
– Deletion process applicable for DBOS and Imatch CIF creation, all mandatory field. Branch need to delete if no declaration from customer.<br><br>
– In the event there is no existing FATCA & CRS status maintained, no further action required from Branch;
</td><td></td></tr>
<tr><td>9</td><td>
<u>Common Reporting Standards (CRS)</u><br><br>
(i) A self-certification form is required to be signed by each applicant for each account opening even though the accounts are opened at the same time.<br><br>
Note:<br>
Applicant is required to complete the latest Universal Business Banking Form which have the self-certification incorporated.<br><br>
(ii) Applicant may be:<br>
• Malaysian tax resident<br>
• Malaysian and non-Malaysian tax residency<br>
• Non-Malaysian tax residency<br>
Please refer to Appendix 5.8 for the definitions of the above terms.
</td><td>Account Opening Staff</td></tr>
</table>

| # | Task | Responsible Party |
|---|---|---|
| | (iii) Where the applicant inform they are non-Malaysian tax residents (whether with Malaysian tax residency or not), obtain the following information as per Part 2 of the form:<br>• Country of tax residency<br>• Tax Identification Number (TIN).<br><br>If TIN is not available, ask the applicant(s) concerned the reason TIN is not available, i.e. choose from the three reasons available on the form.<br><br>(iv) If the applicant is a Financial Institution, customer must select one of the following in Part 3 of the form:<br>• Depository Institutions, Custodial Institutions or Specified Insurance Company.<br>• Investment Entity<br>• Investment Entity located in a non-participating jurisdiction.<br><br>(v) The form is to be signed off by the authorised signatory as per the mode of operation for the account.<br><br>(vi) If customer selects investment entity in a non-participating jurisdiction in Part 3(1)(c) or declares in Section A of the FATCA form to be a Non-Reportable Passive Non-Financial Foreign Entity (NFFE).<br>• Obtain the Controlling Person(s) name(s), and<br>• Individual self-certification from each of the Controlling Persons. The Controlling Person is the natural person who is the Beneficial Owner of the entity as per AMLA terms.<br><br>Please refer to Appendix 5.9 for the process flow and guidance on how to complete the form and Appendix 5.10 Frequently Asked Questions (FAQ). | |
| 10 | a. Key in the fields in the eForm based on response provided by the applicant(s).<br><br>• For foreigners, key in the fields based on the passport and / or response to answers provided by the applicant(s) since BDS cannot auto-populate from the passport.<br><br>• For external account, key in EXT in the suffix. | Account Opening Staff |

| # | Task | Responsible Party |
|---|---|---|
| | b. If there is doubt as to the messages encountered in the HOST during account opening, check with the SOM for further clarifications. **Do not inform** the customer that the account cannot be opened because he / she / them is / are “blacklisted in our system”.<br><br>c. A sequence of ten unused account numbers is auto-generated for selection. The account number is to be picked in sequence unless specially requested by customer.<br><br>Where the customer requests to select the account number, inform him/her/them that there will be a service charge as per Fees and Charges on the Bank’s website. If customer agrees, then ensure that the fee is subsequently debited from the account.<br><br>d. For disclosure of information, assist the customer to make an informed decision by explaining the implication of indicating opting in, i.e. to disclose, or opting out, i.e. not to disclose.<br><br>e. At the Other Services screen, the information previously selected will be auto populated onto the account opening screen. The account opening staff is required to select the BNM code.<br><br>The BNM code is applicable for Current, and Conventional FD account. The BNM codes selected at the BDS eForm (Appendix 5.5) will auto populate the Host. The BNM Code here refers to the BNM Counter Party Code. The State Code will auto populate based on the respective branch location. Ensure that the Standard Industry Code (SIC) is correctly completed as this is critical for reporting purposes.<br><br>Please refer to Appendix 5.11 for the list of such codes. In the event branch is not able to confirm customer BNM counter party code, Branch to maintain message "Customer to perform biometric MyKad and update BNM CPC".<br>f. Notes on Addresses and Mobile Numbers<br><br>The attending staff to request justification if mailing/residential from customer use as office or business address and attending staff needs to annotate in the Account Opening Form (AOF).<br><br>No account / business relation should be opened / established until the identity of a potential customer is satisfactorily established. | |

| # | Task | Responsible Party |
|---|---|---|
| | Deposit and SDB Customers based on Matrix for Account Opening Using P.O. Box as below:<br><br>**Situation** / **Non-Individual (East & West Msia)**<br>Either 1 address is P.O. Box — **Allowed** (Provided that 1 of the non P.O. Box address is not a Company Secretary's registered address.<br>Both addresses are P.O. Box — **Not allowed**<br><br>* The following additional control measures should be complied with:<br><br>a) Obtain supporting documents such as utility bills, driving licence or other bank's statements to verify and support the customer's declaration; **and**<br><br>b) Require SOM concurrence and COH approval (or their equivalent) to obtain prior to on-boarding<br><br>c) No accounts open for category "Not Allowed".<br><br>*Note: The above additional control measures applied during on-boarding of NTB customers and ETB during ongoing due diligence.*<br><br>Host Teller default the latest address sequence in CIF during account opening and update the same to the new account created effective from 19/12/2021.<br><br>Branches are to request for mobile numbers and email address to reduce operational cost, uphold our branch standard and improve overall efficiency.<br><br>Check the Host to ensure that the correspondence / email address and mobile number is correctly updated. Rectify where necessary. This is to avoid confidential correspondence such as statements and advices being sent to wrong party. | |

| # | Task | Responsible Party |
|---|---|---|
| 11 | Ensure that the data keyed in during account opening is accurate and complete.<br><br>**Note on Data Accuracy**<br><br>There are many cases of contradicting information or information keyed into the wrong fields as the implications are serious. Some of the more common errors are:<br><br>• Foreign passport numbers are keyed in case of foreigners but the country of issue of the ID document is input as "Malaysia".<br>• Incorrect business unit codes. Please refer to Appendix 5.11 for the list of such codes.<br>• Incorrect BNM Counter Party Codes. Please refer to Appendix 5.12 for the list of such codes.<br>• Incorrect correspondence or email address.<br>• Please refer to Appendix 5.13 for reference of race codes for bumiputra Sabah and Sarawak.<br><br>The implications include the following:<br><br>• Incorrect correspondence / email address leading to confidential information being sent to wrong address and thus indirectly leaking this information to unauthorized party(s).<br>• Data submitted to BNM for reporting purposes are rejected by the latter as the data is not clean or certain fields are not keyed.<br>• The Bank is subject to fine/penalty by the regulatory authorities concerned due to inaccurate/incomplete information provided.<br>• Bank's position in event /cases of disputes or complaints is weakened due to inaccurate and / or incomplete information.<br>• Causing problems for our data warehousing project.<br>• Other statistical and administrative issues. | Account Opening Staff |
| 12 | <u>The BDS will:</u><br><br>• Perform auto-screening against the Internal Blacklist (IBL) in Host.<br>• <u>Internal Blacklist (IBL)</u><br>If there is a name **AND** ID number match, BDS will prompt a message "Blacklisted" and call for supervisor override. Refer to Section 3.4 Internal Blacklist for further details.<br>• If they are in doubt as to the messages posted in the HOST when opening new accounts, they are to check with the SOM for further clarifications. | Account Opening Staff |

| # | Task | Responsible Party |
|---|---|---|
| | <u>The DBOS AML Screening will:</u><br><br>• Interface with the AMLA system to perform screening and risk profiling for Politically Exposed Persons (PEP), high risk individuals / organizations / vessels as per sanction and embargo lists such as Office of Foreign Assets Control (OFAC), European Union (EU) and UN Security Council (UNSC). | |
| 13 | a. Perform inquiry at the CIF Listed Customer Inquiry menu at Host.<br>b. Accept or reject as per the CIF Decision Guide (Appendix 3.2).<br>c. If decision is to accept, override in the BDS. System will proceed to perform Sanctions Screening.<br>If decision is to reject, reject in the BDS and advice the Attending Staff accordingly.<br>d. Compliance Monitoring (IBL Code CM)<br><br>(i) This is the list of customers (individuals and / or entities) placed under compliance monitoring arising from AML / CFT trigger events. This list is only for internal use. All staffs are **not allowed** to share this information with the customer and / or other party outside the Bank. Sharing of the information within the Bank is strictly on a need-to-know basis.<br><br>(ii) If the CIF Listed Inquiry lists the Applicant as under CM, seek confirmation with AML / CFT Unit. Submit your enquiry via email to GC AML / CFT Unit – Training & Advisory with email subject to indicate clearly: **Compliance Monitoring Confirmation:[ CUSTOMER NAME ]** providing the following::<br><br>• The Host print screen showing the inquiry result<br>• Applicant's full name<br>• Copy of the applicant's MyKad/passport.<br><br>(iii) AML/CFT Unit will investigate and revert whether the applicant is matched or unmatched.<br><br>(iv) If matched, perform Enhanced Due Diligence and obtained the approval as per the GCSME High Risk approval matrix. Refer to Appendix 2.1<br><br>If approved to on-board (for NTB) or open account (for ETB), perform the following: | Supervisor/ Overriding Officer |

| # | Task | Responsible Party |
|---|---|---|
| | • Maintain a message "Under Group Compliance Monitoring" at CIF level.<br><br>DBOS AML Screening AML risk profiling screenshot is required for account open via BDS.<br> <br><br>e. **No account should be opened** for the following:<br><br>• Terrorist / Sanction persons / entities;<br>• Anonymous / fictitious accounts;<br>• "Bearer" accounts;<br>• Shell banks;<br>• Shell company;<br>• Mule account holder listed under IBL Code MA and<br>• Digital Currency Exchanger | |
| 14 | Upon supervisor override being rejected; tactfully inform customer that we are unable to open the account for him. **Do not inform** customer that his name is in the IBL or that he is blacklisted. | Account Opening Staff |
| 15 | If there is no match or if supervisor overrides, complete the following fields in the BDS:<br><br>• Face to face – only applicable to New to Bank Customer. | Account Opening Staff |
| 16 | <u>AMLA Sanctions Screening</u><br><br>a. DBOS AML Screening will automatically interface with the AML System to perform screening against the AML System Commercial List comprising a database of Politically Exposed Persons (PEP) and high risk individuals / organizations / vessels as per sanction and embargo lists such as OFAC, European Union and United Nations Security Council (UNSC).<br><br>Handling of AML system return status to DBOS BDS CIF Standalone:<br><br>a) Pending Investigation (to advice customer to revisit for onboarding)<br>b) Completed (AMLCFT = High(H)/Medium(M)/Low(L))<br>• EDD escalation for approval for AMLCFT = H<br>c) Completed (PEP = Y/N)<br>• EDD escalation for approval for PEP = Y | Account Opening Staff |

<table>
<tr><th>#</th><th>Task</th><th>Responsible Party</th></tr>
<tr><td></td><td>
With approved EDD, proceed to open account via the following BDS transaction codes
<table>
<tr><th>Type of Account</th><th>BDS Transaction Code</th></tr>
<tr><td>Current Account</td><td>1180</td></tr>
<tr><td>Fixed Deposit</td><td>3380</td></tr>
</table>
</td><td></td></tr>
<tr><td>17</td><td>
<u>Risk Profiling and PEP</u>
<br><br>
1. System would profile the applicant(s) based on the information keyed in. There are four (4) possible results
<table>
<tr><th>Customer is PEP</th><th>AML/CFT Risk Profile</th></tr>
<tr><td>No</td><td>Low</td></tr>
<tr><td>No</td><td>Medium</td></tr>
<tr><td>No</td><td>High</td></tr>
<tr><td>Yes</td><td>High</td></tr>
</table>
2. Low Risk, non-PEP and Medium Risk, Non-PEP account Opening via BDS Transaction Code.<br>
Note:<br><br>
Where the staff is aware based on local knowledge that the applicant and / or beneficial owner is a domestic PEP or a person entrusted with a prominent function by an international organization, seek confirmation from AML/CFT Policy & Advisory team. If confirmed positive match, the person(s) must be tagged as high risk, Enhanced Due Diligence performed, and approval obtained as per PEP handling process. Please refer to Item 4 High Risk PEP below.<br>
Staff is to email Group AML/CFT via generic email: GC AML/CFT Policy & Advisory (email subject to clearly indicate: NEW PEP identified [Customer Name and CIF] – where CIF is only applicable for existing customer) with justifications (e.g. customer’s self-declaration, found through Google search, known through counterparts/other staff) that the customer is a PEP. Attach with copy of his/her identification documents e.g. Mykad/Passport<br><br>
3. High Risk, non-PEP
</td><td>Account Opening Staff</td></tr>
</table>

| # | Task | Responsible Party |
|---|---|---|
| | (i) Perform Enhanced Due Diligence (EDD). Complete the information required in the EDD Form (Appendix 5.14)<br><br>(ii) Print the DBOS AML Screening Customer Risk Detail Screen.<br><br>(iii) Email the EDD Form to the Approving Authority (AA) for approval. Please refer to the Delegation of High Risk Approval Authority (Appendix 2.1) for the AA.<br><br>(iv) If approved, proceed to open account via the following BDS transaction codes:<br><br>**Type of Account** / **BDS Transaction Code**<br>Current Account: 1180<br>Fixed Deposit: 3380<br><br>(v) If not approved,<br><br>• Tactfully inform the applicant(s) that we are unable to open the account.<br>• For New to Bank, delete the CIF created.<br><br>4. High Risk PEP<br><br>(i) Perform Enhanced Due Diligence (EDD). Complete the information required in the EDD Form (Appendix 5.14)<br><br>(ii) Print the DBOS AML Screening Customer Risk Detail Screen.<br><br>(iii) Email the EDD Form to the Approving Authority (AA) for approval. Please refer to the Delegation of High Risk Approval Authority (Appendix 2.1) for the AA.<br><br>(iv) If approved, proceed to open account via the following BDS transaction codes:<br><br>**Type of Account** / **BDS Transaction Code**<br>Current Account: 1180 | |

| # | Task | Responsible Party |
|---|---|---|

| | |
|---|---|
| Fixed Deposit | 3380 |

5. High Risk PEP (Staff Identify or PEP close associate)

(i) Email to AML / CFT Team (via email address **GC AML/CFT Policy & Advisory**) copied to the SOM to seek confirmation whether the applicant is staff identify or PEP close associate.

(ii) Staff is to email Group AML/CFT via generic email: GC AML/CFT Policy & Advisory (email subject to clearly indicate: NEW PEP identified [Customer Name and CIF] – where CIF is only applicable for existing customer) with justifications (e.g. customer's self-declaration, found through Google search, known through counterparts/other staff) that the customer is a PEP. Attach with copy of his/her identification documents e.g. Mykad/Passport.

- Applicant's full name as per his/her identification document (s), and customer detail information
- Copy of his/her identification document e.g. MyKad / Passport.

(iii) After confirmation obtained, email the EDD Form to the Approving Authority (AA) for approval. Please refer to the Delegation of High Risk Approval Authority (Appendix 2.1) for the AA.

(iv) If approved, proceed to open account via the following BDS transaction codes:

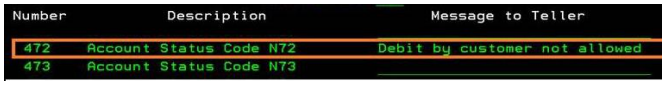
| Type of Account | BDS Transaction Code |
|---|---|
| Current Account | 1180 |
| Fixed Deposit | 3380 |

(v) If not approved, inform the applicant(s) that we are unable to open the account. For New to Bank, inform the BM/SOM/Relief to delete the CIF created.

6. Enhanced Due Diligence (EDD) Form for Non-Individual

The EDD form is required when customer is rated as High Risk. Please refer to Appendix 5.14 for the format.

| # | Task | Responsible Party |
|---|---|---|
| 18 | Upon informed by Responsible Officer to delete the CIF, inquire as to the reason and perform deletion of the CIF in the Host. Ensure that the correct CIF is deleted. | SOM/ Relief |
| 19 | a. For non-individuals, customer to complete and sign the Universal Business Banking Form (Branch always refer to latest **Universal Business Banking Form**)<br>b. If customer requires a third party to operate the account, a mandate form (Appendix 5.15) is to be completed and signed. This practice is however not encouraged.<br><br>Where the customer requests for a third party mandate, please refer Section 5.4.3 for the process and verification. | Account Opening Staff |
| 20 | Tagging of teller status for non-individual account during account opening.<br><br>**a. HDA (Housing Developer Account)**<br><br>**During Account Opening** - Branches to tag to:<br><br>• HDA product code D8 (conventional) or F8 (Islamic).<br>• HDA accounts to be tagged to 'Teller status 72' at account level.<br><br> <br>Above: Host screen for Teller Status Maintenance<br>**Purpose**: Tagging is to disallow any fund transfers by customers via BizSmart® online banking, as per regulations.<br><br>**b. DSRA (Debt Service Reserve Account) implemented on 17 May 2021**<br><br>Branches are to use the new product codes in BDS drop-down list during account opening process:<br><br>**Current Account** / **Product Code** / **Product Description**<br>Conventional / D1DRSA / BizCA DSRA<br>Islamic / F1DRSA / BizCA DSRA-i<br><br>DSRA accounts to be tagged to 'Teller status 72' at account level during account opening. | Account Opening Staff |

| # | Task | Responsible Party |
|---|---|---|
| |  <br>Number Description Message to Teller<br>472 Account Status Code N72 Debit by customer not allowed<br>473 Account Status Code N73<br><br>Above: This tagging disallow any fund transfers by customers via BizSmart® online banking, as per regulations.<br><br>Note:<br>Branch to submit the scanned request form and necessary supporting documents to Group SME, Commercial & Transaction Banking RM/ BWM for their review and approval for withdrawal from Housing Developer's Account (HDA). | |
| 21 | Mode of Operation<br><br>As instructions regarding the mode of operation of the account are very important, write clearly the instructions of the account holder(s) and record it on the eForm (Appendix 5.5) / Universal Business Banking Form. Branch always refer to latest **Universal Business Banking Form**. | Account Opening Staff |
| 22 | Introducer<br><br>For New To Bank customers, an introducer must be along with NTB customer when opening a business account at the bank.<br><br>If the prospective customer does not have an introducer, the staff can ask customer to provide bank statement maintained with other banks in which minimum account opening duration of 3 months and average account balance of RM30k. | Account Opening Staff |
| 23 | Initial Deposit<br><br>a. The minimum amount for account opening is based on the product. Please refer to the Bank's website for the initial deposit to open account for the product concerned.<br><br>b. No account is to be opened with an initial deposit below the prescribed amount unless prior approval had been obtained from the Cluster Operations Head concerned.<br><br>c. For Current and Fixed Deposit (conventional Ringgit and Foreign Currency), please refer to the Bank's website for the initial deposit/initial placement.<br><br>d. For Fixed Deposit, ask the customer for the following instructions: | Account Opening Staff |

| # | Task | Responsible Party |
|---|---|---|
| | • The placement amount, tenor and the interest disposition of the FD.<br>• The operation of account (if applicable).<br><br>e. The initial deposit may be made by cash, transfer from an existing ABMB/AIS account over the counter or via a Self Service Terminal (SST) e.g. initial deposit made at the Cash Deposit Machine or Cash Recycler Machine.<br><br>If over the counter, All in One Form (AIO) (Appendix 5.16) is to be completed. For Fixed Deposit, record the amount and tenor on the AIO. The Fixed Deposit Placement Form is no longer required.<br><br>f. Foreign currency cash deposit is not allowed for Foreign Currency Account. | |
| 24 | For Current Account product with cheque book<br><br>Complete the cheque book application form. Customer has the option to collect at the branch or have it couriered to him directly at a nominal fee.<br>Note – Preprinted cheque books have been discontinued. | Account Opening Staff |
| 25 | For non-exempted external accounts, perform teller status maintenance at Host to tie these accounts to Teller Status 64 so that the BDS will prompt for override when performing cash deposit over the counter.<br><br>Please refer to Appendix 5.17 on how to perform the maintenance. | Responsible Officer |
| 26 | Pass the AIO customer copy, and a copy of the Deposit Terms & to the customer. The latest version may be obtained from the Bank's corporate website. | Account Opening Staff |
| 27 | Issuance of Debit Card and PIN Mailer<br><br>For the process flow for issuance of debit card and PIN Mailer for normal, i.e. sighted customers, please refer to Section 5.2 of the Self Service Terminal Standard Operating Procedures.<br><br>Issuance of Debit Card for Visually Impaired Persons<br><br>The Bank has extended Debit Card/Debit Card-i services to visually impaired persons. The option that has been made available to the customer is the eSavings/eSaving-I Debit Card. | Account Opening Staff |

| # | Task | Responsible Party |
|---|---|---|
| 28 | It is mandatory to offer Alliance BizSmart® service to all business customers upon opening of a current account.<br><br>To register customers for Alliance BizSmart® and to ensure mandatory collection of email address during new account opening.<br><br>In the event that during account opening customers do not wish to register for Alliance BizSmart® and therefore they will be unable to retrieve the monthly e-statements via Alliance BizSmart®, it will be followed up by a process to ensure that the customers are subscribed for e-mail statements that will be delivered to the registered e-mail address for the opened account. Exceptions shall be given to business owners who are OKU and seniors age =>60 years where it will be followed by a process to subscribe hardcopy statement for the opened account. | Responsible Officer |
| 29 | Listing of Accounts Opened<br><br>a. Print out the Listing of Accounts Opened from BDS for the day. BDS transaction codes 1180, and 3380 denote current, and fixed deposit account opening respectively.<br><br>b. Collate all account opening forms (AOF) opened for the day and ensure the account opening documentation are complete as per account opening documentation requirements.<br><br>c. Tally the number of physical account opening documents with the Listing of Accounts Opened.<br><br>d. In event of multiple accounts opened by same customer on the same day,<br><br>(i) Photocopy an additional set of documents for the rest of the account opening application.<br>(ii) Annotate “Original filed with <indicate the Account Number with which the “original set” of documents are filed>” on the photocopy set of documents. “Original set“ of documents here refer to the set documents provided by the customer and include the certified true copy.<br><br>How to Determine Where to File the “Original Set”<br><br>The safekeeping of the “original set” of documents is with FD account (if applicable), followed by CA type in that order. | Responsible Officer |

| # | Task | Responsible Party |
|---|---|---|
| | e. Review and check all the AOF and documents including FATCA and CRS declaration and pass to the SOM to approve.<br><br>f. Escalate to the SOM if any account opening form(s) is not submitted by End of Day. | |
| 30 | Review and Approve on all AOFs<br><br>a. Check the iMatch AML risk rating and ensure the EDD is conducted and approval Is obtained whichever is applicable.<br><br>b. The PEP Tagging, SIC, JP, FATCA, PDPA and BNM Counter Party Code and all other information are correctly maintained.<br><br>c. Approve the AOF.<br><br>d. Pass the AOF and documents back to Responsible Officer for filing. | Service & Operations Manager |
| 31 | Account Opening Documents Filing<br><br>a. Upon receiving the AOF and documents from SOM, tally with Account Opened Listing Report DD1309P (which is the system generated report spooled to branch printer) by initial and date it before filing. This is to ensure that all the AOF and documents are accounted for.<br><br>b. File the AOF according to the type of account e.g. CA, and FD and in account number order into the strong room / fire proof cabinet. All account opening documentation must be filed into the strong room / fire proof cabinet within three working days from date of account opening.<br><br>c. Refer to MN0788 Cash Handling and Branch Administration Procedures for the new process of account opening documents retrieval from strong room / fire proof cabinet. | Branch Responsible Officer |
| 32 | BDS & iMatch system do not auto upload latest customer information into HOST system. If there is any update of customer information not in the account opening or eform, the branch will get customer to sign the Service Request Form or eSRF to update latest information. Refer to Appendix 5.18 Service Request Form (SRF) | Responsible Officer |
| 33 | END | |

### 5.2.3 Streamlining Non-Individual Account Opening

a. Non-Individual Account Opening had been streamlined on 30 April 2018 for both walk-ins and customers solicited by Relationship Manager (RM)/Business Wealth Manager (BWM) by BU for greater efficiency and improved customer experience:

b. The key changes are tabulated below:

| # | Item | Revised Changes |
|---|---|---|
| 1 | Documentation | |
| 1.1 | Document checklist | |
| 1.2 | Enhanced Due Diligence Form for Non Individual | Enhanced Due Diligence is conducted as per requirements under Section F – High Risk customers of MN0162 ABMB SOP for AMLCFT |
| 2 | Approval Authority (AA) | |
| 2.1 | High Risk and Politically Exposed Persons (PEP) | Refer to Appendix 2.1 |
| 2.2 | Host Dishonoured Cheque Information Inquiry function (HDC Inquiry) and Internal Blacklist (IBL) | Revised AA (for opening non-individual account for non-individuals) in event of DCEQS or IBL match/hit.<br>1. Head, SME Business Development<br>2. Regional Sales Manager (RSM)<br>3. Head, Corporate Deposit<br>4. Head, Corporate Banking<br>5. Head, Commercial Banking<br>Please refer to Appendix 3.2 for the revised Guide to Decision making for IBL matched. |
| 2.3 | Waiver of MyKad verification for opening of Ringgit and Foreign Currency Current and Fixed Deposit accounts for non-individuals. | Approving Authority<br>1. Head, Group SME, Commercial and Transaction Banking<br>2. Head, Group Corporate Banking and Capital Markets<br>3. Head, SME Business Development<br>4. Regional Sales Manager (RSM)<br>5. Head, Corporate Deposit<br>6. Head, Corporate Banking<br>7. Head, Commercial Banking |
| 2.4 | Deviations to Open Account for Customers with Incomplete Documents | This is no longer allowed due to AML purposes. |

<table>
<tr><th>#</th><th>Item</th><th>Revised Changes</th></tr>
<tr><td>3</td><td>Preparation of Beneficial Owner and Company Searches</td><td>
<table>
<tr><th>Type of Search</th><th>Who to Perform</th></tr>
<tr><td>CTOS</td><td>Not required for account opening.</td></tr>
<tr><td>Host Dishonoured Cheque Information Inquiry function (HDC Inquiry)</td><td>Branch</td></tr>
<tr><td>Internal Blacklist</td><td>BDS auto-check.</td></tr>
<tr><td>Companies Commission of Malaysia</td><td rowspan="2">Walk-ins – Branch<br><br>Solicited by RM/BWM – the respective sales staff.</td></tr>
<tr><td>Beneficial Owner</td></tr>
</table>
</td></tr>
<tr><td>4</td><td>Arm code tagging</td><td>Arm code must be tagged to the arm code written on the application form.<br><br>For walk-in customers and cases where there is no arm code written on the application form, branch is to tag the account with its respective branch pseudo code.</td></tr>
<tr><td>5</td><td>Business Unit (BU) Code</td><td>Branch staff must strictly follow the Business Unit Code written on Section I of the application form.<br><br>If Section I is left blank, the branch is to tag the account to 400</td></tr>
<tr><td>6</td><td>Initial deposit</td><td>
<ul>
<li>Non-individual accounts are allowed to be opened without initial deposit except for walk-in customers.</li>
<li>Account number will be provided to customers once account is opened for them to perform the initial deposit via IBG.</li>
<li>Minimum initial deposits of RM 500.00 have to be transferred to the new account within 30 days. Otherwise the account will be closed automatically.</li>
<li>Sales staff to inform branch once the initial deposit has been credited for the latter to key in the cheque book application.</li>
</ul>
</td></tr>
<tr><td>7</td><td>Turnaround Time (TAT) for account opening</td><td>
<table>
<tr><th>Application submitted by</th><th>TAT to Open Account #</th></tr>
<tr><td>RM/BWM</td><td>Before and up to 2.00 p.m. - same day</td></tr>
</table>
</td></tr>
</table>

<table>
<tr><th>#</th><th>Item</th><th>Revised Changes</th></tr>
<tr><td></td><td></td><td>
<table>
<tr><td></td><td>After 2.00p.m. - latest by 12.00 noon of the next working day.</td></tr>
<tr><td>Walk-in</td><td>Immediately.</td></tr>
</table>
#provided documents are complete and no additional approval required.<br>Cheque book will be issued once company search results are in order.
</td></tr>
<tr><td>8</td><td>Company Board Resolution requirement</td><td>
<table>
<tr><th>Account solicited by</th><th>Bank entity name in resolution</th></tr>
<tr><td>RM / BWM</td><td>Alliance Bank / Alliance Islamic Bank.</td></tr>
<tr><td>Walk-in</td><td>Must be written in full, i.e. Alliance Bank Malaysia Berhad / Alliance Islamic Bank Berhad)</td></tr>
</table>
Branch name and address are not required in the Board Resolution for account opening. If it is stated in the resolution, then the account can only be opened at the branch mentioned
</td></tr>
<tr><td>9</td><td>CCM search charges</td><td>Branches are to discontinue charging customer for the search fee. Hence authorization no longer required.</td></tr>
<tr><td>10</td><td>BizSmart® Application & Maintenance</td><td>Please refer to SOP MN0515 (Alliance BizSmart® Handling Of Customer Request At Branches) for more details.</td></tr>
</table>

### 5.2.4 Accounts Opened for Credit Card Merchants / Escrow

a. Accounts Opened for newly acquired Credit Card ‘Merchants’

(i) New merchants acquired by ABMB’s Credit Card business must have account opened with the bank for purpose of settlements.

(ii) Prior to opening of account, the Responsible Officer in CPS Merchant Unit must conduct necessary checking of the new merchant through the CTOS System.

(iii) Upon positive verification, the Responsible Officer in CPS Merchant Unit must provide the selected Branch a memo recommending opening of account as well as copy of the CTOS Verification report.

(iv) The business owner of the merchant may visit the selected branch to effect the account opening. It required full documentation as listed at Section 5.5.3 by the

customers to facilitate opening of account. Account should not be opened if documents are not made available for verification.

(v) In order to develop and maintain a practical approach in Knowing Your Customers, the following should be incorporated into the daily business activities:

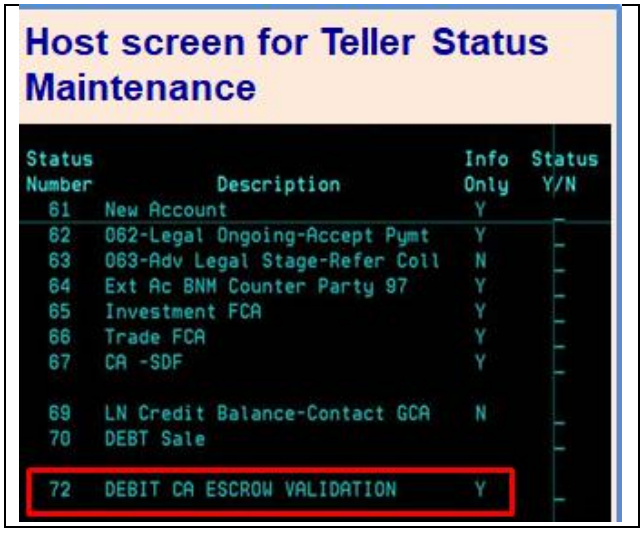
- make a reasonable effort to determine the true identity of all customers.
- take adequate and appropriate measures to identify the ultimate or true ownership of all accounts.
- be aware of any unusual transaction activity or activity that is disproportionate to the customers' known business and financial capability.

The primary objective of such procedures is to enable ABMB to detect with relative certainty the types of transaction in which a customer is likely to be engaged in. The customer profile should allow us to understand all facets of the customer's intended relationship with us, and realistically determine when the transaction is suspicious or potentially illegal.

b. Opening of Escrow Current Account

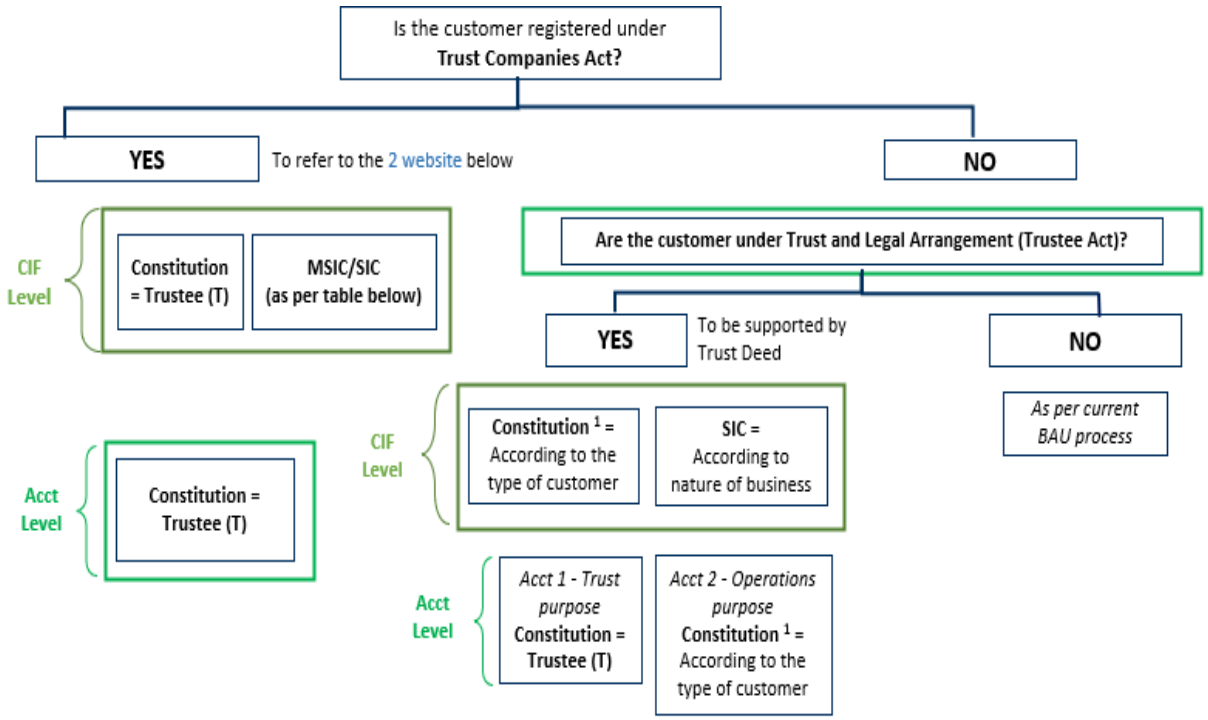
(i) There are occasions where the Bank wishes to ensure that the proceeds of a facility are used for the purpose stated in the facility agreement. Hence the customer is required to include signatory(s) from the bank, e.g. RM / BCM, as a mandatory signature in the drawdown account authorized signatories.

(ii) The account opening documentation is the same as that for normal current account except for the product code. The responsible staff is required to select product code D1ESCROW (description-BIzCAEscrow) for Conventional Escrow CA and tag Teller Status 72 at account level to disallow any funds transfers via BizSmart®.



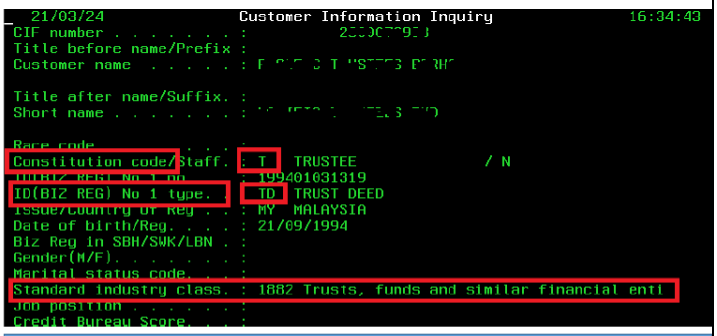
### 5.2.5 Accounts Opened for Trust Companies

Branches are to adopt the process below for correct maintenance of Constitution Code and Standard Industry Class (SIC) code . Refer to Appendix 5.20 for full details on Trust and Legal Arrangements (TLA).



| # | Task | Responsible Party |
|---|---|---|
| 1 | Determine whether the customer is registered under Trust Companies Act.<br><br>a. Verify if the customer is registered as a Trust company as defined under theTrust Companies Act by referring to below websites:<br>(i) Established in Malaysia - https://www.atcm.com.my/office-bearers<br>(ii) Established in Labuan - https://www.labuanfsa.gov.my/areas-of-business/labuan-service-providers/trust-companies-and-ancillary-services/list-of-labuan-trust-companies<br><br>b. If **YES**: Determine the MSIC/SIC code by referring to the below reference table.<br><br>c. Maintain Constitution code as 'T' at both CIF and Account level. | Branch Responsible Officer |

| Type | MSIC | SIC |
|---|---|---|
| Venture capital fund | 64301 | 1878 |
| Unit trust fund excludes REITs | 64302 | 1879 |
| Property unit trust (REITs) | 64303 | 1880 |
| Other administration of trusts accounts | 64304 | 1881 |
| Trusts, funds and similar financial entities | 64309 | 1882 |




Constitution Code for both CIF & AIF: T
ID Type: TD (Trust Deed)
ID number: As per TD (for Trust Companies, can be replaced with SSM registration number if TD number is not applicable)
SIC Code: 1881 / 1882

| | | |
|---|---|---|
| 2 | If the customer is NOT registered under Trust Companies Act, then determine whether the customer is fall under the Trust and Legal Arrangement (Trustee Act).<br><br>a. If **YES**: Obtain a copy of valid Trust Deed for the account.<br><br>At CIF level, tagging as below:<br>i. Constitution = According to the type of customer<br>ii. SIC = According to the nature of business<br><br>b. At Account level,<br>i. Acct 1 – Trust purpose, Constitution = T<br>ii. Acct 2 – Operations purpose, Constitution = According to the type of customer<br><br>c. If NO: Proceed as per current BAU process. Constitution should not be tagged as "T"<br>i. Complete the account opening process following the standard procedures and documentation requirements. | Branch Responsible Officer |

### 5.2.6 Offsite Account Opening

a. With a view to be competitive in the current market environment, Management has approved the following processes:
   - Offsite MyKad verification using portable biometric reader
   - Documents Delivery Service for Offsite customers (either personal delivery or using registered mail).

b. Portable Biometric Readers

   The portable biometric reader will only be able to perform the following basic functions:

   - Read MyKad
   - Verify the person's thumb print/biometric against the MyKad
   - Display the verification result on the built-in screen on the reader
   - Download the customer's data and MyKad verification to the reader
   - Connect to a PC when back at the branch.
   - Print out the verification results
   - Delete the data from the reader once the verification results are printed.

   These portable readers will be enhanced to interface with the BDS for customer data to be downloaded for account opening.

For security purposes, the sales staff biometric details must be enrolled in the reader before they can use it and specific functions (like read MyKad or Print Results) will be assigned to the appropriate users accordingly.

The portable MyKad Reader Administrator must ensure that the data is promptly deleted from the portable MyKad Reader upon loading and printing of the verification results.

c. Off-site Opening of Account

(i) Where the customer has completed and signed on the account opening form or blank eForm e.g. during off site account opening, the Branch Responsible Staff must key in the information into the BDS to open the account except for those opened via DBOS. The eForm is still required to be printed out after opening the account. This eForm (Appendix 5.5) printout must be attached to the signed application form/eForm.

(ii) Opening of Current Account Processes at Off-site for Non-Individuals (Non-Borrowing Customers) at All ABMB Branches by Branch Operations Staff.

The key processes are briefly summarized below.

| # | Key Process | Remarks |
|---|---|---|
| 1 | Witnessing and verification of all documents and signature. | The authorized GSMECTB / Corporate GCBCM staff is allowed to become witness / verifier of all relevant documents as per the Authority Matrix.<br><br>This is to be done by conducting a site visit to the customer's workplace and any other business and / or employment premises as may be declared by the customers and conduct a prompt interview.<br><br>They are required to complete a Site Visit Report.<br><br>The site visit report format may be obtained from the SME inAlliance portal as follows:<br><br>https://inalliance.corp.alliancebg.com.my/dept/gsme-productdevelopment/Shared%20Documents/SME%20Banking%20Site%20Visit%20Matrix%20(Effective%201st%20August%202014).msg<br><br>The above format may be updated from time to time. |

| # | Key Process | Remarks |
|---|---|---|
| 2 | Current Account Opening Process | Current Account is allowed to be opened off-site. |
| 3 | MyKad Verification | MyKad verification process can be done off-site using a laptop.<br><br>MyKad verification may also be performed at off-site via biometric readers installed at the GSMECTB/Corporate GCBCM authorized laptop.<br><br>The list will be updated as and when there are any additional authorized signatories or any changes in the signature list.<br><br>Any updates on the Authorized Signatories List will be updated by Cash Management via the respective Business Units. Cash Management subsequently will update Consumer Segment & Distribution to update all branches. |
| 4 | Documents to be submitted by customers | There are additional documents as compared to opening of Current account at Offsite for Borrowing Customer to be submitted, namely:<br><br>(i) Site Visit reports<br>(ii) MyKad Reader validation report<br>(iii) Six (6) months Current account statement. |

### 5.2.7 Validation of Data for Account Opened at Branches

a. Branch Account Validation Teams resided in Group SME, Commercial & Transaction Banking have centralized the validation of information updated to Host for new non-individual accounts opened respectively at branches for all branches.

b. Branches are to adopt the process below to forward the relevant account opening documents to Branch Account Validation Teams for their validation.

| # | Description | Action by |
|---|---|---|
| 1. | At end of the day, SOM / OIC to ensure all account opening forms together with the supporting documents are available and complete. The number | Branch Responsible Officer |

| # | Description | Action by |
|---|---|---|
| | of account opening is to be tallied with end of day report generated from the BDS system at end of day. | |
| 2. | Scan the documents and email to<br><br>Non Indi Account: Group Ops - BMO Account Validation <SMEAcctval@alliancefg.com ><br>Email subject: <Branch Code><Branch Abbreviation><Account Name> <dd/mm/yyyy><br><br>E.g: **041 BPC Qaiser Rizq Muhammad 01/01/2020** | Branch Responsible Officer |
| 3 | Annotate remark "Scanned" on account opening/application/form hard copy and initial. | Branch Responsible Officer |
| 4 | Tally back the emails sent with the hard copy to ensure all the account opening form / application / eForm have been scanned and emailed to respective team as per item no. 2. | Branch Responsible Officer |
| 5. | File the account opening forms and supporting documents under lock and key as per Section 5.2.2 Item 34. | Branch Responsible Officer |
| | END | |

### 5.3 Digital Banking One System (DBOS) Account Opening

This section will cover account opening procedures using the Digital Banking One System (DBOS) for the Operational Procedures for DBOS Account Opening for Non – Individuals.

5.3.1 Straight through Processing – DBOS (Non-individual)

a. Accounting Opening for Non Individuals at Branches for different entities.

Please refer to SOP Alliance BizSmart® Handling Of Customer Request At Branches for more details on BizSmart® application and maintenance.

The target customers are as per listed below and with the following criteria:

- Sole Proprietor
- Private Limited Company (Sendirian Berhad)
- General Partnership
- Limited Liabilities Partnership
- Professional Bodies (Solicitor - Office/Client Account, Real Estate, Property Management, Accounting Firm, Clinics)
- Society/Club/Associations
- Liquidation Account

Please refer to newest version of Application Form, document checklist that will be revised from time to time;

https://inalliance.corp.alliancebg.com.my/dept/gsme-productdevelopment

| **Sole Proprietorship** | **Private Limited Liability Company (Sendirian Berhad)** | **General Partnership<br>Limited Liabilities Partnership<br>Professional Bodies<br>Society/Club /Associations<br>Liquidation Account** |
|---|---|---|
| Existing to Bank (ETB) or New to Bank (NTB) | | |
| FATCA –<br><br>a. Entity revenue at least 50% derived from core business ;<br>b. Non-US Government / Central Bank ; **or**<br>Public Listed Entity (non-Financial Institution) | | |
| Common Reporting Standards (CRS) –<br><br>a. Malaysia and Non-Malaysia Tax Resident ;<br>b. Malaysia Tax Resident ; **or**<br>Non-Malaysia Tax Resident. | | |
| Business Registered in Malaysia.<br>Directors and Beneficial Owner (BO) can be Malaysian and / or Non-Malaysian | | |
| Signing mandate – "Solely" to sign | Signing mandate –<br>a. "Solely" ;<br>b. "Any-1-to-Sign" ;<br>c. "All-to-Sign" ;<br>d. "Any-2-to-Sign" ; or<br>e. "Others" | Signing mandate –"All-to-Sign" to sign<br><br>*to select option other than "All to sign", must prepare company "Authorisation/Nomination Letter" which signed by all the parties |
| Note | | |

| Sole Proprietorship | Private Limited Liability Company (Sendirian Berhad) | General Partnership<br>Limited Liabilities Partnership<br>Professional Bodies<br>Society/Club /Associations<br>Liquidation Account |
|---|---|---|
| a. Check whether the account to be opened via DBOS is available under STP. If not within the scope of DBOS STP, proceed for account opening via the BDS.<br><br>The Current Account products currently available under DBOS STP are as follows:<br><br>• Conventional Current Account<br>• Islamic Current Account<br>• Basic Conventional Current Account<br>• Basic Islamic Current Account<br><br>b. The BizSmart® Packages currently available under DBOS STP are as follows:<br>✓ Transactional Module (Standard Package)<br>✓ Inquiry Module<br>✓ Transactional Module (SME Solution Package) | | |

c. Process Overview

Branches are to adopt the STP process below for all entities as per above.

Please refer to DBOS Non-Indi Training Deck for more details of Process Overview.

The Updated Training Deck may get from inAlliance > SME Product Development > (J) Business Current Account.

| | Task | Responsible Party |
|---|---|---|
| **A** | **Preliminary Activity** | |
| 1 | Liaise with applicant to obtain the documents required e.g. business registration documents, board resolution, Memorandum & Articles of Association / Constitution (if any) , MyKad / Passport from the applicant. Please refer to the document checklist in the inAlliance Portal<br><br>**Note:**<br><br>1 Attending Staff is the staff performing the on-boarding via DBOS tablet. He / she can be a Branch SOE, SOO or SOC, RM or BWM. | Attending Staff |

| | Task | Responsible Party |
|---|---|---|
| | 2 For customer brought in by SME (RM) / BWM, customer does not need to provide registration documents. They just need to sign the Customer Declaration Form (Appendix 5.19) and confirm that the search is accurate and updated. (If search is not updated, full set of documents is required.)<br>3 The Constitution is optional with the enforcement of Companies Act 2016.<br>4 For sole proprietor and general partnership from Sabah/Sarawak, perform checking on HOST on whether there is existing sole proprietor and general partnership from Sabah/Sarawak with the same company and owner name but a different trading license number.<br><br>**Note**: Should there be a sole proprietor / general partnership with same company name and owner, additional due diligence required to determine if the application is legitimate and decisions are made based on additional due diligence performed.<br><br>In Sabah and Sarawak sole proprietor and partnership are registered with the local authority/town or city council. There is possibility of firms with similar names but are actually separate firms since the various local authorities are not connected to each other. | |
| **B** | **On DBOS Tablet** | |
| 2 | a. Log on to the DBOS Tablet with LAN ID and password.<br><br>b. Create application, enter arm code and perform Company Name **<u>or</u>** Business Registration **<u>or</u>** Certification Registration in the DBOS system. Branch to enter Branch Pseudo Code for walk-in customers. This pseudo code may be obtained from the inAlliance as follows:<br><br>https://inalliance.corp.alliancebg.com.my/dept/gcb-d/Communication/Forms/AllItems.aspx<br><br>c. Once the SSM search results are available in the tablet, ask applicant to check whether the information is up to date. | Attending Staff |

| | Task | Responsible Party |
|---|---|---|
| | <u>Company Registered with SSM - Onboard customer using old SSM ID number via DBOS or BDS (alternate channel)</u><br><br>On-board those company registered with SSM (Sdn Bhd, Sole-prop or partnership from Peninsular), Branch should select the new ID type and key in new SSM ID number (12 digit).<br>a. RC (Certificate of Registration)<br>b. RB (Business Registration)<br>c. BF (Foreign Company)<br><br>Refer below for details:<br>**Introduce new ID type in ARBS** | |

| No | Class Code (Constitution) | Class Code Description | Old SSM ID Type | Old SSM ID Type Description | New SSM ID Type | New SSM ID Type Description | SSM Code (New SSM 5th & 6th digits) | Remark (from URS) |
|---|---|---|---|---|---|---|---|---|
| 1 | Q | PRIVATE LTD CO | CR | CERTIFICATE OF REGISTRATION | RC | CERTIFICATE OF REGISTRATION | 01 | Local Company |
| 2 | B | BANKS | FB | FOREIGN BODIES LINKED | BF | FOREIGN BODIES LINKED | 02 | Foreign Company |
| 3 | N | INSURANCE | FB | FOREIGN BODIES LINKED | BF | FOREIGN BODIES LINKED | 02 | Foreign Company |
| 4 | Q | PRIVATE LTD CO | FB | FOREIGN BODIES LINKED | BF | FOREIGN BODIES LINKED | 02 | Foreign Company |
| 5 | U | PUBLIC LTD CO | FB | FOREIGN BODIES LINKED | BF | FOREIGN BODIES LINKED | 02 | Foreign Company |
| 6 | S | SOLE PROPRIETOR | BR | BUSINESS REGISTRATION | RB | BUSINESS REGISTRATION | 03 | Business |
| 7 | P | PARTNERSHIP | BR | BUSINESS REGISTRATION | RB | BUSINESS REGISTRATION | 03 | Business |
| 8 | 6 | LTD LIAB PARTNERSHIP | BR | BUSINESS REGISTRATION | RB | BUSINESS REGISTRATION | 04 | Local Limited Liability Partnership |
| 9 | B | BANKS | FB | FOREIGN BODIES LINKED | BF | FOREIGN BODIES LINKED | 05 | Foreign Limited Liability Partnership |
| 10 | N | INSURANCE | FB | FOREIGN BODIES LINKED | BF | FOREIGN BODIES LINKED | 05 | Foreign Limited Liability Partnership |
| 11 | Q | PRIVATE LTD CO | FB | FOREIGN BODIES LINKED | BF | FOREIGN BODIES LINKED | 05 | Foreign Limited Liability Partnership |
| 12 | U | PUBLIC LTD CO | FB | FOREIGN BODIES LINKED | BF | FOREIGN BODIES LINKED | 05 | Foreign Limited Liability Partnership |
| 13 | PB | PROFESSIONAL BODIES | CR | CERTIFICATE OF REGISTRATION | RC | CERTIFICATE OF REGISTRATION | 06 | Limited Liability Partnership for Professional Practice |

In the even existing customer does not have new SSM 12 digits, user should check customer's new 12 digit SSM ID via MyData (https://www.mydata-ssm.com.my).

Print screen from the MyData result page, and keep either the PDF or printout to be attached with the file (for audit purposes).

If yes, request applicant to sign the hard copy Customer Declaration Form (Appendix 5.19 Confirmation of Accuracy of Corporate Information – Non-individual Deposit Account Opening).

| | Task | Responsible Party |
|---|---|---|
| | If the customer declares that the SSM information is not up-to-date, user may make amendment on SSM report in DBOS by referring latest SSM Search Report and collect the documentation as per Document Checklist. The latest version may be obtained from the inAlliance portal link above.<br><br>For Sabah/Sarawak business using Trading License, LLP, Professional Bodies, Societies/Club and Liquidation Account is to manually input Company Name and Trading License number/Business Registration Number to proceed. Note limited liability company (Sdn Bhd) also requires trading license.<br><br>In Sabah and Sarawak sole proprietor and partnership are registered with the local authority/town or city council. There is possibility of firms with similar names but are actually separate firms since the various local authorities are not connected to each other.<br><br>d. Go through the different products with the applicant and inform the applicant on the Current Account product features selected and the BizSmart® packages. | |
| 3 | a. Explain and assist the applicant on the following:<br><br>• Connected party<br>• Politically Exposed Person (PEP)<br>• Foreign Account Tax Compliance Act (FATCA)<br>• Common Reporting Standard (CRS)<br>• Use of Customer Data in Direct Marketing (CDDM)<br>• General Declaration and Deposit Term & Condition<br><br>b. Handover the tablet to applicant and guide applicant to enter the information. | Attending Staff |
| 4 | Perform the following in DBOS based on information / details provided by the Applicant<br><br>a. Select account type and if applicable BizSmart® tokens in DBOS.<br>b. Fill in company, shareholder and authorized person's information. | Attending Staff |

| | Task | Responsible Party |
|---|---|---|
| | c. Malaysian – to perform facial biometric via Tablet for all authorized signatories and persons authorized to open the account as per Board Resolution.<br><br>**Exceptional Handling for Failure to Capture Malaysia New Registration Identification Card (MyKad)/Passport or Failure to Capture Selfie Portrait**<br>i. Attending Staff will be prompted with a message "***Are you having difficulty capturing NRIC? Would you like to upload NRIC on web tracker?***"<br><br>ii. Attending Staff to select "**Yes**", the Identification icon & Selfie Portrait icon on tablet if disabled. Otherwise, to continue capture MyKad.<br><br>d. Non-Malaysian – to perform passport verification and facial biometric via Tablet for all authorized signatories and persons authorized to open the account as per Board Resolution. | |
| 5 | a. Explain and assist the applicant on Personal Data Protection Act (for authorized Signatory(s) and related individuals.<br>b. Handover the tablet to applicant and guide applicant to enter the information. | Attending Staff |
| 6 | a. Indicate whether to provide consent for PDPA by clicking on the options:<br><br>• Yes, I/We provide consent **<u>or</u>**<br>• No, I/We do not provide consent.<br><br>**Note:** Any option would not impact the account creation process.<br><br>b. E-Signature<br><br>To sign on the tablet using a stylus pen. | Applicant |
| 7 | a. Fill in the details for Fixed Deposit (FD), Foreign Currency Account (FCA) and Foreign Fixed Deposit Account (FFDA) products if the applicant wants those products to be bundle with BCA application. | Attending Staff |

| | Task | Responsible Party |
|---|---|---|
| | b. Submit the application and inform applicant that his/her/their application is being processed. Inform the applicant that he /she will receive an email notification on the account number and initial deposit requirement once the account has been opened.<br><br>c. When maker select to submit application on tablet, there will be a prompter for maker to key in user ID and password, after which the application will be submitted. | |
| **C** | **On the Staff Web Tracker** | |
| 8 | Log on the Staff Web Tracker at https://web-tracker-dbos-beans.dbos.corp.alliancebg.com.my/#/login | Attending Staff |
| 9 | a. Search for the applicant's case.<br><br>b. Fill in missing and incomplete information (i.e. Beneficial Owner details, Authorized Share Capital, preferred language and etc.)<br><br>**Exceptional Handling for Failure to Capture Malaysia New Registration Identification Card (MyKad)**<br><br>i. On DBOS tablet, Attending Staff faced issue capturing MyKad and selected "Yes" to message prompt. "***Are you having difficulty capturing NRIC? Would you like to upload NRIC on web tracker?***"<br><br>ii. Attending Staff to upload<br><br>• The scanned copy of MyKad under **Application Creation → Applicant Details → MyKad** Icon; and<br>• The scanned copy of MyKad thumbprint verification under **Application Creation → Applicant Details → Selfie Portrait**.<br><br>c. Upload all relevant documentation (i.e. Board Resolution, BizSmart® resolution, etc.) as per | Attending Staff |

| | Task | Responsible Party |
|---|---|---|
| | Document Checklist (Appendix 5.19) via Web Tracker (Application Creation – Document tab)<br><br>d. If AML / IBL / CHEQ hit, Staff need to click for iMatch Results to find out the factor of High Risk and Request EDD to answer the EDD questions.<br><br>e. Obtain approval for customer with EDD hit (email approval will be auto-generated and routed to the selected Concurrer and Approver via the system).<br><br>f. Submit the completed physical documentations as per Document Checklist (Appendix 5.19) and follow the STP requirement (there will be changes from time to time).<br><br>g. Pass all physical account opening documents e.g. application summary, board resolution, approvals etc., to the Checker together with document checklist for the latter to acknowledge receipt. | |
| 10 | a. Upon notification of case submission by attending staff, check that the document checklist is complete and all the relevant documents, e.g. board resolution, BizSmart® application and resolution, Application Summary are submitted digitally via Web tracker.<br><br>b. If documents are not completed **<u>or</u>** appropriate approvals not obtained, reject and return the documents to the Attending Staff concerned.<br><br>c. Receive physical account opening documents from the Attending Staff.<br><br>**Note:** The Checker is the Branch Service and Operations Manager (SOM) or Relief SOM, and SME Validation Team. | Checker<br><br>Branch Service |
| 11 | Log on the Staff Web Tracker below and search for the applicant's case.<br>https://web-tracker-dbos-beans.dbos.corp.alliancebg.com.my/#/login | Checker |
| 12 | a. Perform checking to ensure digital documents uploaded in Web Tracker complete and the appropriate approvals have been obtained. | Checker |

| | Task | Responsible Party |
|---|---|---|
| | b. Check and verify information input against documents uploaded.<br><br>c. Perform approval in the Web Tracker for items within Checker's Approval Authority as per DBOS Biz Deposit User Access Matrix (Appendix 2.1).<br><br>d. In the event the type of signing mandate is selected requires manual capturing on SVS as follows:<br><br>e. "Any-2-to-sign"<br>f. "Others"<br><br>DBOS auto update SVS if the signing mandate is "Solely", "Any One to Sign "and "All to Sign:<br><br>After Checker has approved the case and account is successfully created on HOST, an email from "Signavio" is triggered to Checker to complete SVS manually.<br><br>**Note:** Cut off time is 4:15pm, if the case is created after 4.15pm, email is sent the next working day.<br>g. Checker upon receiving the email from "Signavio" is to forward the email to relevant Branch Operations Staff to access SVS.<br>h. Branch Operations Staff to access SVS and manually capture signatures as per the Current Account Board Resolution if required.<br>i. After Branch Operations Staff has successfully captured all signatures as per the Current Account Board Resolution onto SVS (where required), Branch Operations Staff to click the "Complete" button in the email provided by the Checker and click "Send". | Branch Operations Staff |
| | j. Another email from "Signavio" will be triggered to Checker to check and confirm on Web Tracker<br>k. Once Checker has confirmed, case status on Web Tracker will change to successful.<br>l. When Checker returns the application to Maker requesting that some field(s) be edited, Maker is able to amend the fields and iMatch must be re-triggered | Checker |

| | Task | Responsible Party |
|---|---|---|
| | 2nd time. After receiving Accepted status from iMatch, maker is able to seek EDD appeal (if required) before resubmitting the application.<br><br>m. Log-off from the Staff Web Tracker<br><br>**Note:**<br><br>The TAT for the Checker to perform the above checking and approval is **within the same day** if documents received by the **cut off time of 2.00 p.m**.<br><br>System will create the CIF and open the account upon approval by Checker. | Maker |
| 13 | a. Cross check the AML risk rating in DBOS against the risk tagging in Host and update where necessary.<br><br>b. Safe keep all the physical documents, e.g. Board resolution, MyKad verification report, Application Summary and other items in the Document Checklist.<br><br>c. To cross check for successful BizSmart® Application Service Request (SR) created in CRM **at 2.00 p.m.** every day by searching the company name.<br><br>If SR is not auto generated in CRM system, an email will send to Branch Responsible Officer and they required to scan the Application Summary from Web Tracker and BizSmart® board resolution into CRM as per current practice for BizSmart® creation for customers who opted for it. | Branch Responsible Officer |
| 14 | Authorised Contact Person and attending staff will receive an email after account creation in HOST to inform customer application is successful. Customer will also receive an account activation email on the account number and to bank in minimum initial deposit. | Attending Staff |
| END | | |

## 5.4 Documentary Requirements

5.4.1 Documentation Requirements for Opening of Account – Non - Individuals

| Type of Customer | Documents Required | Actions Required |
|---|---|---|
| Company (Sdn Bhd)<br><br>The various types of companies that may be formed in Malaysia:-<br><br>• A Company Limited By Shares.<br>• A Company Limited By Guarantee<br>• A Company Limited By Both Shares / Guarantee<br>• Unlimited Company (with or without Share Capital)<br><br>All the above may either be a Private Limited Company (Sendirian Berhad) or a Public Limited Company (Berhad).<br><br>In addition to this, these companies must be registered with the Companies Commission of Malaysia (CCM). | General Documents:<br><br>1. MyKad/passport of the Authorized Signatories<br>2. Photocopy of MyKad/Passport of all Directors' *who are not Authorized Signatories (CTC / Original Sighted)*<br>3. Photocopy of MyKad/ MyKad verification/ Passport of identified Beneficial Owner<br>4. CCM Search Report (Not more than 1 month old)<br>5. Universal Business Banking Form. (Branch always refer to latest **Universal Business Banking Form** (English and Bahasa Malaysia version in inAlliance portal > <u>SME Product Development > Application Forms</u>)<br><br>**<u>Applicable For Companies Incorporated Prior to 31st Jan 2017.</u>**<br><br>**Walk in:**<br>1. All above general documents.<br>2. Memorandum & Articles of Association<br>3. Board / Extract of Resolution<br>4. Certificate of Incorporation – Form 9 (applicable for Sdn Bhd)<br>5. Certificate for Commencement of Business – Form 23 (applicable for Bhd)<br>6. List of Directors & Secretary - Form 49 / Section 58<br>7. Shareholding/Issue & Paid up Capital - Form 24 / Section 7<br>8. Registered Office - Form 44 / Section 46(3)<br>9. Certificate of Change of Name - Form 13 / Section 28 (*if applicable)* | 1. Perform MyKad biometrics verification for the Authorized Signatory(s).<br>2. Ensure the company documents obtained are Certified True Copy by the Company Secretary<br>3. Board Resolution to open account must tally with the governance document such as Memorandum and Articles of Association/ Constitution<br>For example, the document says resolutions must be signed by all the directors then all the directors must sign on the board resolution.<br><br>4. To clearly define the Sales Turnover (STO) of ETB company to determine the BNM counterparty code based on SSM report.<br><br>For NTB, New incorporated company/business, action as below:<br><br>i. Refer to SSM report for Sales Turnover (STO). If not available, then proceed to No. ii.<br><br>ii. Customer declaration. Sales to ensure the customer declare STO in the Universal Business Banking Application Form.<br><br>Note |

| Type of Customer | Documents Required | Actions Required |
|---|---|---|
| | **Documents required for customers solicited by RM/BWM:**<br>1. All the above general documents<br>2. Memorandum & Articles of Association (M&A)<br>3. Customer Declaration Form<br><br>**<u>Applicable For Companies Incorporated on/after 31st Jan 2017.</u>**<br><br>**Walk In:**<br>1. All the above general documents.<br>2. Board / Extract of Resolution<br>3. Constitution (If Any)<br>4. Notice of Registration – Email Format<br>5. Application of registration of a Company<br>6. Return for allotment of share - Section 78<br>7. Notification of Appointment of the first Company Secretary – Section 58 & 236(2)<br>8. Notification of Change in the Register of Directors, Managers and Secretaries – Section 58 (*if applicable*)<br>9. Notification of Change in the Registered Address - Section 46(3) (*if applicable*)<br>10. Certificate of Change of Name - Section 28 (*if applicable*<br>11. Licensing Authority / Practicing Certificate (e.g. MMA, Real Estate Agent, Architect, Solicitor, etc.) – for professional governed by specific legislation.<br>12. Trading License (for companies performing trading in Sabah and Sarawak.<br><br>**Documents required for customers solicited by RM/BWM:**<br><br>1. All the above general documents<br>2. Board / Extract of Resolution | 1. Under Companies Act 2016, it is not compulsory for a company to have a constitution. In this scenario, the company, its directors and each member of the company shall have the rights, powers, duties and obligations set out in the said Act.<br><br>A company **limited by guarantee** (Syarikat Berhad Menurut Jaminan) however shall have a constitution. |

| Type of Customer | Documents Required | Actions Required |
|---|---|---|
| | 3. Constitution (If Any)<br>4. Customer Declaration Form | |
| Foreign Company | The foreign company must provide the branch with the following certified documents:<br><br>1. Section 562 notice of registration of foreign company (Form 83 for those foreign company registered prior to 31st January 2017)<br>2. Copy of its charter, the statute or Memorandum and Articles of Association/Constitution or other similar instrument defining its constitution.<br>3. A list of directors.<br>4. A memorandum of appointment or power of attorney authorizing a person or persons residing in Malaysia or a company as an agent to accept on its behalf service of process and any notices to be served on the company.<br><br>Notes:<br><br>1. Certified copy means a copy of the document that has been certified by director, manager or company secretary of the foreign company.<br><br>2. The Certificate of Incorporation and the company's Charter must be in English. | Verification of the foreign company's evidence of registration<br><br>1. When the documents requirement are fulfilled, RM/BWM will then need to verify the foreign company's existence with CCM by performing a search on the foreign company there as per existing procedure (BAU).<br><br>2. The data in the "Certificate of Registration of Foreign Company (Form 83)/Notice of Registration will be used<br><br>3. If any of the above items cannot be fulfilled (especially Form 83/Notice of Registration) then RM/BWM will need to escalate the foreign company's account opening to the Head GSMECTB/GCBCM |
| Liquidator Account<br><br>A liquidator is a person appointed to wind-up the company by distributing the assets to the company's creditors and the balance assets, if | 1. The documents to be submitted depends on whether the company is wound up by order of court (involuntary winding up) or initiated by the company itself even though it is still solvent (members' voluntary winding up).<br><br>Certified True Copies of : | 1. Branch must conduct a search to verify these documents<br><br>2. Clear instructions pertaining to the operation of account must be taken and recorded on the Universal Business Banking Form. |

| Type of Customer | Documents Required | Actions Required |
|---|---|---|
| any, to the members of the company (shareholders).<br><br>In Malaysia, the liquidator could be the Director-General of Insolvency, the government official designated to be in charge of the administration of bankruptcy and winding up matters in Malaysia. Alternatively, a private liquidator could be appointed. This would have to be an accountant since a person can only obtain a liquidator's license if he holds an audit license. It is the duty of the liquidator to ensure that the company is completely dissolved.<br><br>The previous Companies Act, i.e. Companies Act 1965 was replaced by the current Companies Act 2016 which came into force on the | **Involuntary Winding Up via Court Order**<br>• Superform (previously Form 24,49 and M & A)<br>• Section 513 (1) Notice of Appointment and Address of Liquidator (Court Winding Up (previously Form 70, Companies Act 1965) duly lodged at the Companies Commission of Malaysia (CCM).<br>• Court Order will be required (please ensure the authenticity of the Court Order).<br><br>**Members' Voluntary Winding Up**<br>1. Superform (previously Form 24, 49 and M/A)<br>2. Board Resolution for Members Winding up<br>3. Section 513 (1) Notice of Appointment and Address of Liquidator (Voluntary Winding Up) form, Companies Act 2016 (previously Form 71, Companies Act 1965 ) duly lodged at the Companies Commission of Malaysia (CCM)<br>4. Notice of Board Resolution passed (previously Form 11, Companies Act 1965) duly lodged at CCM)<br><br>2. The Liquidator is also required to produce his personal identity documents. | 3. The Universal Business Banking Form (Branch always refer to latest **Universal Business Banking Form** (English and Bahasa Malaysia version in inAlliance portal > SME Product Development > Application Forms and identity documents must be checked and approved by a Responsible Officer before assigning the account number.<br><br>4. The account must be styled as "ABC Sdn Bhd – Voluntary Liquidation" or "ABC Sdn Bhd – Involuntary Liquidation" depending on whether it is wound up by the company itself or by court order.<br><br>5. The powers of the directors of the company cease and **all matters are taken over** by the liquidator immediately upon the commencement date of the company's winding-up whether members' voluntary or court winding up. |

| Type of Customer | Documents Required | Actions Required |
|---|---|---|
| 31st of January, 2017. | 3. The Liquidator must sign and complete the appropriate Group Universal Business Banking Form (Branch always refer to latest **Universal Business Banking Form** (English and Bahasa Malaysia version in inAlliance portal > SME Product Development > Application Forms. The applicant must be given a copy of the Deposits Terms and Conditions. For latest Terms and Conditions, staff may refer via Bank's corporate website link https://www.alliancebank.com.my/announcement/updates-tnc-for-deposit-products.<br><br>4. The Liquidator must be present at the Bank when the account is opened. | |
| Sole Proprietor / Partnership / Limited Liabilities Partnership (LLP) | General Documents:<br>1. MyKad/passport of the sole proprietor/ partners<br>2. SSM/CCM Search Report (Not more than 1 month old)<br>3. Borang A – Business Certificate of Registration *(for Sole Proprietor & General Partnership)*<br>4. CCM Search Report (Not more than 1 month old)<br>• Universal Business Banking Form (Branch always refer to latest **Universal Business Banking Form** (English and Bahasa Malaysia version in inAlliance portal > SME Product Developmemt > Application Forms duly completed and signed<br><br>***Note**: For branches in Sabah & Sarawak – a Trading License is* | 1. MyKad of the Authorized Signatories<br>2. Perform MyKad biometrics verification<br>3. Sight and photocopy all the original document<br>4. Perform a "Search" to confirm the registration. |

| Type of Customer | Documents Required | Actions Required |
|---|---|---|
| | *required from the local authorities in place of Borang A*<br><br>*Additional supporting documents e.g. driving license /* eDriving License *or valid passport (is required for sole proprietorship, general and limited partnership) in addition to biometric verification. If none, justification must be obtained.*<br><br>**Walk In:**<br><br>1. All the above general documents.<br>2. Borang B – Change of Particulars of Sole Proprietor or Partners *(if any)*<br>3. Borang D – Annual Renewal Certificate.<br>4. Partnership's Deed/Agreement if available *(for Partnership & LLP).*<br>5. Notice of Registration *under Akta LLP 2012 (for LLP only).*<br>6. Certificate of Incorporation *(for LLP only).*<br>7. Letter of Authorisation *(similar to Resolution) indicating intention to open an account and manner of operating the account (for LLP only).*<br>8. Licensing Authority / Practicing Certificate (e.g. MMA, Real Estate Agent, Architect, Solicitors, etc.) – for professional governed by specific legislation.<br><br>**Documents required for customers solicited by RM / BWM only:**<br><br>1. All general documents<br>2. Trading License (Sabah & Sarawak)<br>3. Partnership's Deed/Agreement if available<br>4. Letter of Authorization (for LLP only)<br>5. Customer Declaration Form | |

| Type of Customer | Documents Required | Actions Required |
|---|---|---|
| Solicitor/Legal Firm's Accounts<br><br>A Solicitor/Legal Firm may to open two types of accounts:<br><br>• Office Account<br>• Clients Account | The following documents must be produced by the Applicant when the account is opened:-<br><br>1. Original Practicing Certificate of the Solicitor(s)<br><br>2. Registration documents of the legal firm, e.g. limited company, partnership etc.<br>3. Identity Cards of the solicitor(s).<br><br>Photocopies of the above documents are to be taken for our records. Photocopy of MyKad is not required where account is opened via eForm as biometric verification had been performed successfully and printed out. | **Clients' Account**<br><br>1. These accounts are operated solely for the receipt and payment of monies belonging to their clients. As such, they should **never be overdrawn**. The word "Client's Account" must be included after the title of the Solicitors name e.g. "SKRINE & CO - CLIENT'S ACCOUNT".<br><br>2. Where a client's account is opened specifically for a particular client or group of clients, the account may be styled as "ABC & Co – Client's Account XYZ Sdn. Bhd.".<br><br>3. Separate client's accounts are required to be opened for **Resident and Non-Resident** clients. Client's account opened for Non-Resident clients are to be designated as External Account.<br><br>4. A letter of undertaking from the solicitor that the identification documents of the beneficial owner(s) of the client's accounts has been obtained recorded and retained is required.<br><br>5. The BNM Counterparty Code<br><br>• Legal firm with resident client's account should |

| Type of Customer | Documents Required | Actions Required |
|---|---|---|
| | | use the counterparty code 79 (DOMESTIC OTHER ENTITIES N.I.E)<br>• Legal firm with non-resident client's account should use the counterparty code 99 (FOREIGN OTHER ENTITIES<br><br>**Office Account**<br><br>This is the Firm's Account which is operated solely for the Firm's business **without** the **Clients' funds**. The word "Office Account" must be included after the title of the Solicitor's name e.g. "SKRINE & CO -OFFICE ACCOUNT".<br><br>The applicant must sign and complete the appropriate Group Universal Business Banking Form (Branch always refer to latest **Universal Business Banking Application Form** (English and Bahasa Malaysia version in inAlliance portal > SME Product Development > Application Forms. The applicant must be given a copy of the Deposits Terms and Conditions. For latest Terms and Conditions, staff may refer via Bank's corporate website link https://www.alliancebank.com.my/Alliance/media/Documents/Banking/Business_Deposits_Terms_Conditions_ENG.pdf |

| Type of Customer | Documents Required | Actions Required |
|---|---|---|
| | | The sole-proprietor or the partners of the legal firm must be present at the Bank when the account is opened.<br><br>Clear instructions pertaining to the operation of account must be taken and recorded on the Group Universal Business Banking Form. Any subsequent change in their mandate must be signed by the sole-proprietor or in the case of a partnership, all the partners.<br>The identity documents must be checked and verified by a RM / BWM / Branch (Walk in Customer only) before assigning the account number. |
| Housing Development Account (HDA) | In addition to the normal account opening documents, other documents / information below are to be obtained from the developer.<br><br>i. Copy of the approved layout plan;<br>ii. Particulars of the land and proposed development (e.g. copy of the land title, types of building and number of units)<br>iii. Documents to be obtained prior to withdrawal from the HDA<br>• Particulars of the professionals / consultants appointed (e.g. name, address, contact number and letter of appointment, etc.);<br>• Particulars of the contractor(s) engaged (e.g. name, address, contact number and letter of appointment, etc.); | |

| Type of Customer | Documents Required | Actions Required |
|---|---|---|
| | • Proposed selling price of each type of house;<br>• Estimated total cost of construction of the housing development (i.e. development cost including land cost) certified by the architect or engineer in charge of the housing development; | |
| Associations/ Clubs and Societies Registered with the Registrar of Societies (ROS) | 1. Original Certificate of Registration issued by the Registrar of Societies (including any amendments thereto). For youth organizations; the Original Certificate of Registration issued by the Registrar of Youth (ROY) is also required.<br>2. Certified Copy of their governance document e.g. Constitution/Rules and Regulations/By-Laws including any amendments thereto (to be retained by the Bank).<br>3. MyKad of the office bearers and signatories<br>4. Minutes of Meeting signed by the Chairman and Secretary appointing the bank as their banker and stipulating the mandate pertaining to the operation of account.<br>5. Registrar specifying investment of funds (for Cooperative only).<br>6. Appointment of Committee/AJK List - Identification of Office Bearer.<br><br>Note: If the Office Bearer is deemed BO;<br>i. Office Bearer of NPOs are defined to be the President/Chairman, Secretary, Treasurer and any committee/council members that are appointed as the Authorised Signatory<br>ii. For Church only – Office Bearer are defined to be the Pastor/Priest, President/Chairman, Secretary, Treasurer and any | 1. Photocopy of the certificate of registration<br>2. Perform a “Search” to confirm the registration.<br>3. Perform MyKad biometrics verification and photocopy the identity documents of the office bearers and signatories.<br>4. Sight and photocopy the entire original document.<br>5. Check that the mode of operation **tally with the governance document**.<br>For example, if the By-Laws say that the account must be operated by the Treasury **together with** either the President/Chairman or Secretary then mode of operation must be Treasurer (mandatory signatory) plus President/Chairman or Secretary.<br>6.Should the BO not appointed as Authorized Signatories, branch would require to obtain a copy of the ID document and conduct CDD on the said Office Bearer. Create CIF and linked the Office Bearer as BO to the NPO. |

| Type of Customer | Documents Required | Actions Required |
|---|---|---|
| | committee/council members that are appointed as the Authorised Signatory<br><br>* Should any constitution or structure of the NPO is not set up as per above, branch would require to take reasonable measure to identify and verify the beneficial owners of the NPO. | 7. Any office bearer deemed to be BO who also appointed as Authorized Signatories, branch to link the office bearer relationship as Authorized signatories. |
| Statutory / Government Body | Letter of Authority – Issued by Accountant General for accounts opened by Federal Government department, or issued by State Financial Officer for accounts opened by State Government departments<br><br>Consist of the following:<br>• Request to open an account<br>• Names and positions of officials authorized to operate the account and the nature or mandate of operation<br><br>For Government School<br><br>Branch to obtain the Lampiran AK52 from the school before opening of Government School Account.<br><br>The Lampiran AK52 must be certified by the Jabatan Pelajaran Negeri/ Ketua Pusat Tanggungjawab. | 1. Photocopy of the certificate of registration<br>2. Perform a confirmation with the issuer of the Letter of Authority to authenticate the request of opening of account by the authorized officials.<br>3. Perform MyKad biometrics verification and photocopy the identity documents of the official authorized signatories and signatories.<br>4. Sight and photocopy all the original document |
| Money Lender Company | **<u>Sdn Bhd/Berhad</u>**<br><br>General Documents<br>**Important Note:** Refer to on boarding of Company's account under the same categories<br><br>**Plus** Money Lender License issued by Kementerian Perumahan dan Kerajaan Tempatan (KPKT) Licensing Office | Sdn. Bhd. / Berhad / Sole Proprietor/Partnership/Limited Liabilities Partnership (LLP)<br><br>**Important Note:** Refer to the action require for on boarding of company's account under the same categories<br>And perform a confirmation on the license<br>Name: Encik Muhammad Nor Azam bin Samah |

| Type of Customer | Documents Required | Actions Required |
|---|---|---|
| | **<u>Sole Proprietor/Partnership/Limited Liabilities Partnership (LLP)</u>**<br><br>General Documents<br>**Important Note:** Refer to on boarding of SP/PT/LLP's account under the same categories<br><br>**Plus** Money Lender License issued by Kementerian Perumahan dan Kerajaan Tempatan (KPKT) Licensing Office | Designation/ Department: Setiausaha Bahagian, Bahagian Kawalan Kredit Komuniti, KPKT<br>Email: azam@kpkt.gov.my<br>Tel: 03-8891 4666<br><br>For future reference, member banks may also visit https://edirektori.kpkt.gov.my/edirektori/index.php/home/grid/22 to check on updates in relation to the details of the *Setiausaha Bahagian, Bahagian Kawalan Kredit Komuniti*, KPKT.<br><br>Or check it through **KPKT's mobile application (i-kredikom)** on Android or Apple store.<br><br>Print screen from the **i-kredikom** result page, and keep either the PDF or printout to be attached with the file (for audit purposes). |

5.4.3 Mandates and Power of Attorneys

a. What is mandated and power of attorney?

There may be instances when a customer wishes to authorise a third party to operate his account. In this connection, it is important to distinguish between a Mandate and a Power of Attorney.

| Third Party Mandate Form | Power of Attorney (PA) |
|---|---|
| 1. This is a written instruction given by a customer to his banker, instructing the latter that a named third party is duly authorised to do certain acts on behalf of the customer, such as drawing cheques on his account.<br><br>2. Used for the following should be completed and signed by the | 1. It is a document, which authorise one person (called the attorney or donee, or grantee) to act on behalf of another person (called the donor, or principal, or grantor).<br><br>2. The PA must be registered with a Malaysian High Court. If registered overseas, the document must be |

| Third Party Mandate Form | Power of Attorney (PA) |
|---|---|
| account-holder and the third party empowered to operate the account.<br><br>• Individual Accounts<br>• Joint Accounts<br>• Sole-Proprietor Accounts<br>• Partnership Accounts<br><br>3. Identity cards of the third parties should be obtained and checked against the information recorded in the Mandate Form (format as per Appendix 5.15) to ensure it is correct.<br><br>4. The Mandate Form must be signed in full by the customer and in the case of Joint Account and Partnership Account by all the Joint Account-holders and all partners of the firm respectively. Remember, all the principal account-holder(s) and mandatee(s) must be present at the account-holding branch to sign.<br><br>5. The identity of the parties must be verified as per current process.<br><br>6. The Mandate Form must be sent for stamping.<br><br>7. Additionally, the third party empowered to operate the customer's account must also sign on the Account Application form if done at the same time as account opening.<br><br>The customer may appointment a mandate any time after account is opened.<br><br>8. Death, Mental Incapacity or Bankruptcy of the Principal puts an end to the authority given under the mandate. | registered at a Malaysian High Court to have legal status in Malaysia.<br><br>3. Powers of Attorney (PA) are of two main types; Special and General. A Special Power PA (also known as a limited power of attorney) is one given for a specific purpose. A General Power PA usually confers very extensive powers upon the donee. Both types of PA are required to be registered with the High Court.<br><br>The scope of powers given by the Donor to the Donee can be general or specific, with either revocable or irrevocable, depending on the needs and circumstances of the parties. The extent of the powers granted by the donor to the donee depends on the purpose of the grant of the PA. The appointment of the donee must be stated clearly in the Power of Attorney document.<br><br>Certain rights which are personal to the person cannot be delegated to another by way of a PA like the execution of court documents for court proceedings relating to estate matters or matrimonial proceedings.<br><br>For example, at one time, there were a lot of property transactions where Malaysian citizens transacted the property sale by granting a PA to the foreign buyer or the foreign company. The National Land Code 1965 was amended with a new Section 433F which renders any PA granted to a non-citizen or a foreign company as void and any document executed using such PA is also void and incapable of registration. |

| Third Party Mandate Form | Power of Attorney (PA) |
|---|---|
| | 4. The original Power of Attorney must be produced for sighting and a photocopy made for record purposes. Where a copy of the PA is presented instead of the original, ensure that it is authenticated / certified by a magistrate, notary public, Commissioner of Oaths or an Advocate and Solicitor. A search should be made to ensure that the Power of Attorney is genuine and that it has not been revoked.<br><br>5. The identity of the parties must be verified as per current process.<br><br>6. Powers granted under a Power of Attorney must be carefully studied. **If the power to open a banking account is granted, it must be specifically mentioned therein.** The power to operate a banking account only authorizes the donee to operate an existing account. It **does not authorize** the donee to open a new account.<br><br>7. Notice of Death/Bankruptcy/mental Incapacity of the Principal(s) which puts his contractual capability also put an end to the authority of the Power of Attorney. |

## 5.5 E-Statement

5.5.1 e-Statement for account opened via DBOS/ Alliance BizSmart®

5.5.1.1 CASA accounts opened via DBOS and Alliance BizSmart®, eKYC will be defaulted to monthly e-statement via Alliance BizSmart®.

5.5.1.2 Customer can retrieve previous month's statements with the option to print or download it into a PDF document for their own safekeeping.

5.5.1.3 Below common frequent asked questions:

| # | Question | Answer |
|---|---|---|
| 1 | What is e-Statement? | IT is an electronic form of monthly hardcopy statement prepared in a PDF document. |
| 2 | How to view e-Statement? | To begin, customer need to sign up for our online banking, Alliance BizSmart ®. |
| 3 | How to safe e-Statement? | As long as customer did not share your username and password with anyone, it will be saved. Only customer will have access to his/her e-Statement(s). |
| 4 | Can customer choose not to set up Alliance BizSmart® when opening a current account or non-passbook savings account? | Setting up Alliance BizSmart® username and password is part of the application process. Customer will need Alliance BizSmart® to view account statement once its successfully opened.<br>Example: checking balances, making online payment and transfers while waiting for your debit card to arrive. |
| 5 | What are the requirements to view e-Statement via Alliance BizSmart®? | You will need a computer or any reliable device with internet access that enables you to login to Alliance BizSmart® and Adobe Acrobat Reader 7.0 or higher or any similar document reader. |
| 6 | Will customer be charged for this service? | No, there are no charges for e-Statement service via Alliance BizSmart® |
| 7 | How soon will customer be able to view his/her e-Statement(s)? | Once the Alliance BizSmart® enrolment is completed, customer will able to view his/her next statement when it is made available on Alliance BizSmart® |
| 8 | Will customer be charges if he/she request for a copy of his/her account statement? | If customer request physical statement to be printed at Branch on ad-hoc basis that subject for existing fees and charges which are stated in Alliance website fees & charges.<br><br>Note: Customer who Alliance BizSmart® user, he/she can download and print the monthly e-Statement via Alliance BizSmart®, with the option to print or download it into a PDF document for own safekeeping. |
| 9 | Is there exemption given OKU or senior citizen? | Exemption will be given to the follows groups:<br><br>• Customers with disabilities - who declared their disabilities to the Bank and based on the below types of disabilities codes tagged in the HOST system OKU column: |

<table>
<tr><th>#</th><th>Question</th><th>Answer</th></tr>
<tr><td></td><td></td><td>
<table>
<tr><th>OKU Code</th><th>Type of Disability</th></tr>
<tr><td>DE</td><td>Hearing</td></tr>
<tr><td>BL</td><td>Eyesight</td></tr>
<tr><td>SD</td><td>Speech</td></tr>
<tr><td>PH</td><td>Physical</td></tr>
<tr><td>LD</td><td>Learning disability</td></tr>
<tr><td>ME</td><td>Mental</td></tr>
<tr><td>MD</td><td>Multiple disabilities</td></tr>
</table>
<ul>
<li>A customer who is 60 years old and above (on a case to case basis where customer who is computer illiterate – approval required).<br>In the event on the exemption request, Staff will need to raise Service Request (SR), obtain approval from Cluster Operations Head (COH) / Cluster Sales Head (CSH) if applicable and maintain in CRM for Centralized Processing Centre (CPC) to perform maintenance for hold mail flag at account level from “Z” to “N” in the HOST system.</li>
<li>ABMB Director.</li>
</ul>
</td></tr>
<tr><td>10</td><td>What if customer does not want register for Alliance BizSmart® user?</td><td>Bank Staff is to encourage customer to sign up Alliance BizSmart® as this is easy and secure way to view their account statement.<br><br>To register customers for Alliance BizSmart® and to ensure mandatory collection of email address during new account opening.<br><br>In the event that during account opening customers do not wish to register for Alliance BizSmart® and therefore they will be unable to retrieve the monthly e-statements via Alliance BizSmart®, it will be followed up by a process to ensure that the customers are subscribed for e-mail statements that will be delivered to the registered e-mail address for the opened account. Exceptions shall be given to customers who are OKU and seniors age =>60 years where it will be followed by a process to subscribe hardcopy statement for the opened account.</td></tr>
</table>

## SECTION 6 – RATES & INTEREST

### 6.1 Fixed Deposit Interest Rate Structure

6.1.1 Formula for Calculating Fixed Deposit Rates

The formula for computation of fixed deposit interest is as follows:

| |
|---|
| Principal (**P**) x Time (**T**) x Rate Quoted, |

Where
**P** = Amount of deposit (principal)
**T** = Actual/365
(actual refers to the number of days in deposit period that is including placement date but excluding maturity date)

6.1.2 Fixed Deposit Interest Rate Structure

a. There are two tiers of interest rates, i.e. counter and second tier of which the latter is lower than the counter rate.
b. Placement of Fixed Deposit of Customers Subject to Second Tier Rate.

The Convention FD interest rate structure is as follows:

<table>
<tr><th>Placement/Renewal by</th><th>Interest Rate Tier</th></tr>
<tr><td>Corporations, Business<br>BNM Counter Party Code C03</td><td rowspan="5">
<table>
<tr><th>Amount</th><th>Rate</th></tr>
<tr><td>First RM 1 million</td><td>Counter Rate</td></tr>
<tr><td>Subsequent placement/ renewal > RM 1 million</td><td>Second Tier</td></tr>
</table>
Note<br><br>For tenure 36 months and above, counter rate to apply regardless of amount.</td></tr>
<tr><td>Non-Resident Entity<br>BNM Counter Party Code C04</td></tr>
<tr><td>Resident Small Medium Enterprises (SME)<br>BNM Counter Party Code C01<br><br>Note - Due to the revision in definition by BNM, the Responsible Officer only need to confirm the SME status by either verifying annual sales turnover amount or confirmation of number of employees.</td></tr>
<tr><td>Government – Federal Government, State Government, Local Government and Statutory Authorities</td></tr>
<tr><td>Others – non-profit organization, NGOs, Religious Bodies, Charitable Organization, Societies, Clubs, Associations, Trade Unions etc<br>BNM Counter Party Code C02</td></tr>
</table>

c. Supporting documents

| Depositor | Documents |
|---|---|
| All business enterprises (irrespective of business classifications, e.g. sole-proprietor, partnership) | All existing account opening documents.<br><br>To prove that an entity its SME status, the customer must provide the following :<br>• Latest certified audited accounts (by director or company secretary) or latest 2 years certified accounts for sole proprietor and partnership (certified by accountant or owner) on the annual sales turnover amount; OR<br>• Declaration letter of its number of full time employees.<br>Note:<br>1. Customer must provide supporting document on its SME status, otherwise, all FDs placement will be accorded with second tier rate.<br>2. Branches must ensure the BNM Counter Party Codes are correctly maintained in the system. |
| "Others" | All existing account opening documents. |

**6.2 FD Preferential / Special Rates / Variance**

From time to time the business may conduct campaigns whereby special rates are given to solicit deposits especially fresh funds. These special rates are applicable only for the duration of the campaign.

**6.3 FD Interest Payment**

6.3.1 Upon Maturity

a. Interest payable at maturity is at contracted rate between Bank & depositor.

b. System will generate entries reflected in the FD GL Interface Report No.CD1511P according to **interest disposition** code or FDC are: -

**'A'** = interest Add On
**'D'** = credit a/c

Note:
(i) Mode 'T' Interest payment by cash and mode 'C' interest payment by Cheque are no longer allowed.

c. Interest is to be paid at maturity for deposits of 1 to 12 months. For deposits above 12 months, interest is payable 6 monthly with the final payment on maturity date.

6.3.2 Premature Upliftment

As per the Deposit Terms and Conditions **effective 1 January 2019** no interest will be paid for premature upliftment irrespective of when the FD was placed.

6.3.3 Six Monthly

(i) Interest is to be paid six monthly for deposits exceeding 12 months and thereafter six monthly or at maturity, whichever comes first.

(ii) Where the last period to maturity is less than six months, payment of interest shall be based on the balance of the number of months to maturity.

(iii) Interest Payable calculated as follows:

[(Principal x Interest Rate x Period) / 365] - [(Interest already paid)]

(iv) Interest is to be paid by crediting the customer's account.

(v) Where customer comes over the counter,

a. SOE / SOO / SOC to confirm:
- ID of depositor
- Verify signature
- Interest amount printed by system

b. SOE / SOO / SOC to ensure:

- Advice is signed by Officer before payment of interest
- Return FD Receipt and advice to depositor

6.3.4 For Company A/c, Interest payment by cash is prohibited - only by credit of a/c or by Cashier's Order.

6.3.5 Credit of Fixed Deposit Interest into Third Party accounts

This may be allowed subject to the following:

a. For a joint account with mandate both or all to sign, both or ALL account holders must instruct the Bank to credit either of their accounts or a third party account.

b. If the Mandate is either one to sign, then the Bank may act on the instructions of that individual person who to mandated to operate the account. This would include giving instructions to the Bank as to the operation of the account, i.e. crediting of interest into a third party account.

## SECTION 7 – FOREIGN EXCHANGE RULES

### 7.1 Introduction

7.1.1 Legal Framework

a. The Foreign Exchange Policy Notices (FEP Notices) issued by Bank Negara Malaysia on 15 April 2021 has been revised on 1 June 2022 under the ambit of the Financial Services Act 2013 (FSA) and Islamic Financial Services Act 2013 (IFSA). The FE Rules apply to both Conventional and Islamic banking. Staff shall always refer to the latest FEP Notices via BNM link **Appendix 7.1 - FEP Notices issuance 1 June 2022** for details.

b. Reporting requirements are covered under the External Sector Statistics (ESS) System.

7.1.2 The objectives of the FEP are two-fold:

- To safeguard the value of the domestic currency (Ringgit), and
- To safeguard the country's Balance of Payments

7.1.3 Notices

Bank Negara Malaysia has issued the following Foreign Exchange Policy Notices (FEP Notices) under the FSA / IFSA:

| Notice | Subject |
|---|---|
| Notice 1 | Dealings in Currency, Gold and Other Precious Metals |
| Notice 2 | Borrowing, Lending and Guarantee |
| Notice 3 | Investment in Foreign Currency Asset |
| Notice 4 | Payments and Receipt |
| Notice 5 | Securities and Financial Instruments |
| Notice 6 | Import and Export of Currency; and |
| Notice 7 | Export of Goods |
| Directions to Financial Institutions | |
| Direction on Dealings with Specified Person and in Restricted Currency | |
| Minimum Due Diligence Guide for Foreign Exchange Rules | |
| Refinement in Foreign Exchange Policy Notices (FEP Notices) | |
| Declaration on Entities Created/Incorporated in Labuan | |

## 7.2 Residents and Non-Residents

7.2.1 Residential Status

It is crucial to distinguish the residential status of the customer, i.e. whether they are Resident or Non-Resident since different FEP Notices apply to resident and non-resident.

Please refer to the table below for the rules for classifying a customer as Resident or Non-Resident for the FEP Notices purposes.

| **Customers** | | | |
|---|---|---|---|
| **1.Individuals**<br>**Definition**<br>• **Natural persons,**<br>• **Sole proprietor,**<br>• **General Partnership**<br>**as identified by MyKad/passport/Armed Forces ID and the registration documents required.** | | **2.Non-Individuals**<br>**Definition**<br>• **All other entities except Sole Proprietor and General Partnership including Limited Liability Partnership**<br>**as identified by their registration documents.** | |
| **1.1 Resident** | **1.2 Non-Resident** | **2.1 Resident** | **2.2 Non-Resident** |
| All Malaysian citizens as identified by MyKad/ Armed Forces ID<br>**except the following:**<br><br>• Malaysian citizens having PR from overseas but residing **outside** Malaysia.<br><br>Note:<br>a. Malaysian citizens having Permanent Residence (PR) from overseas but are **residing in Malaysia** are considered as Resident.<br>b. If he is staying outside Malaysia (for example in Singapore) he has to be in Malaysia for at least 183 days in the year. Otherwise he would be deemed as a Non-Resident. | All non-Malaysian citizens **excluding**<br><br>• Non-Malaysian citizens who have been granted Permanent Residence (PR) status by Malaysia and are currently residing in Malaysia.<br><br>Malaysian citizens having PR from overseas and residing **outside** Malaysia | Anybody / HQ / Branch meeting the following criteria:<br><br>• Incorporated in Malaysia<br>• Registered in Malaysia<br>• Non–Resident Controlled Corporations (NRCC) – although restrictions were removed in 2008; this classification is still required for reporting purposes.<br>• A local branch of a foreign incorporated body outside Malaysia<br>• Locally registered company owned/ controlled by foreigners<br>• Representative/ | • Sales office / representative office of a resident company aboard e.g. Maybank New York.<br>• Company incorporated outside Malaysia or in Labuan.<br>• Foreign embassy / high commission / supranational organization recognized by the Malaysian Government.<br><br>Note :<br><br>Companies registered in Labuan under the Labuan Financial Services Act (LFSA) such as Maybank International Labuan Pvt Ltd are considered Non-Resident. |

| | | | |
|---|---|---|---|
| c. Malaysian citizens without PR from overseas working outside Malaysia. | | regional office of a foreign incorporated company approved by Government of Malaysia e.g. by MIDA<br>• Malaysian embassy/high commission e.g. Malaysian High Commission to Singapore open account in JB. | |

7.2.2 Rules Applicable to Residents and Non-Residents

Please refer to Appendix 7.2 and 7.3 on the rules applicable to Residents and Non-Residents sourced from BNM's website.

7.2.3 External Account

a. External Account is covered under Notice 4 (Payment & Receipt) of FEP Notices.

b. External accounts may be opened by

(i) Non-Resident Entity(s)

(ii) By a person who operates the account in trust for or on behalf of a Non Resident. The designation of the account shall be determined based on the residency of the beneficiary

Example 1 Solicitors – required to open three separate types of accounts – Office Account, Resident Client and Non-Resident Client – to segregate the money belonging to the legal firm; Resident and Non-Resident clients. The Non-Resident Client's Account(s) is to be designated as an External Account.

Example 2 Securities companies such as TA Securities (Resident) are also required to open three separate types of accounts - Office Account, Resident Client and Non-Resident Client due to the requirement to distinguish between monies belonging to Residents and Non-Residents. The client's account(s) for Non-Resident monies is to be designated as an External Account.

Notes: Requirement to segregate funds by Non-Resident intermediaries

- A financial institution shall ensure that a non-resident intermediary who manages Ringgit assets on behalf of or in trust of its resident or non-resident clients:

- Segregate funds belonging to residents from those belonging to non-resident clients into separate Ringgit accounts opened by the non-resident intermediary for the clients; or
- Transfer the Ringgit proceeds arising from the sale of Ringgit asset managed for resident clients from the non-resident intermediary's external account into the resident clients' own Ringgit account within three business days.

- Financial Institution is defined as a person carrying out a financial business regulated under the laws enforced by Bank Negara and includes any person carrying out any other financial business as may be prescribed or specified by Bank Negara.

(iii) Joint Account between Resident and Non-Resident **except** the following:

- Joint venture (JV) in Malaysia where there is no separate entity/company formed – evidenced by JV agreement

c. What currency must External Account be in? Ringgit only.

d. External Account may be opened with any financial institution in Malaysia only. Why only Malaysia? Currently, Ringgit accounts may only be opened in Malaysia due to capital controls effective 1 September 1998 under which all Ringgit must be repatriated to Malaysia within 30 days of that date failing which it ceases to be legal tender.

e. Designation of External Account – a financial institution is required to designate an external account by marking clearly in any manner such account as an external account. This is done by maintaining the EXT in the suffix at Host.

f. What are the types of external accounts? Deposits and Loans.

g. Approved Sources and Approved Uses

A Financial institution, in effecting payment or receipt that has been allowed, from or into an external account on behalf of a third party shall ensure that it is able to verify that such payment or receipt is from:

- A non-resident financial institution on behalf of its non-resident client or settlement of international trade in goods or services with a resident.
- A non-resident intermediary on behalf of its non-resident client for the settlement of Ringgit asset.

**Approved Sources and Approved Uses of External Account**

| | |
|---|---|
| 2.1 | Purchase of foreign currency on spot basis from:<br>• A licensed onshore bank<br>• A licensed money changer |
| 2.2 | Lending of Ringgit or repayment of any Ringgit Borrowing in accordance with Notice 2. |
| 2.3 | Cash withdrawal over the counter of any account. |
| 2.4 | Payments or outward transfer of up to RM 10,000 per transaction via automated teller machine (ATM) or other electronic means (including internet banking, mobile banking, mobile payments or electronic money) for any purpose.<br>Any transaction beyond the prescribed threshold of RM 10,000 must be supported with documentary proof of permitted purposes under Notice 4. |
| 2.5 | Outward clearing of up to RM 10,000 per cheque for any purpose. Any transaction beyond the prescribed threshold of RM 10,000 must be supported with documentary proof of permitted purposes under Notice 4. |
| 2.6 | Payment in Ringgit for purposes in accordance with Part B (Payment in Ringgit) and Part F (Opening and Maintaining of Account) of Notice 4. |
| 2.7 | Transfer in Ringgit between NRFIs which are China Foreign Exchange Trade System (CFETS) members for settlement of trade in goods / services with a Resident. |

7.2.4 Dealings with Specified Persons and in Specified Currency

No person in Malaysia shall undertake or engage in any dealing or transaction with a Specified Person

A person may enter into, or make or receive payment arising from an international trade with or involving a Specified Person–

(a) in goods, where such trade is licensed under the Customs Act 1967 [Act 235], or does not involve movement of goods into or out of Malaysia; or

(b) in services, where such trade is allowed in writing by a relevant authority exercising statutory power in Malaysia, or does not involve provision of services to or from a person in Malaysia.

Where an international trade with or involving a Specified Person does not fall under above condition, a person may make or receive payment arising from such trade only with the written approval of the Bank

No person in Malaysia shall undertake or engage with any person in any dealing or transaction using or involving a Restricted Currency.

No person shall open an account for a Specified Person or in a Restricted Currency unless with the prior written approval of the Bank

7.2.5 Definitions

Please refer to **Appendix 7.1** for the Foreign Exchange Policy Notices (FEP Notices) definitions.

## 7.3 Foreign Currency Account

7.3.1 Effective from 5 December 2016 Foreign Currency Account I and II have been replaced as follows:

| Foreign Currency Account | Replaced by |
|---|---|
| FCA I | Trade FCA |
| FCA II | Investment FCA |

7.3.2 Who can open a Foreign Currency Account (FCA)?

| Who | Remarks |
|---|---|
| Resident Entity | Allowed to open and maintain a FCA with a LOB subject to Part B (Investment by Resident Entity) Notice 3. |

7.3.3 Tagging of Trade or Investment FCA (Resident Account Only)

a. All existing FCA account with the Bank has been converted to Trade or Investment FCA based on the following rules:

- All Foreign Currency Fixed Deposit (FCFD) has been retagged as Investment FCA.
- For existing Foreign Currency Current Account (FCACA), FCA I & FCA II has been converted by default to Trade FCA and Investment FCA held by individuals and non-individuals respectively.

b. For new FCA opened, CBMO must manually tag the Teller Status (TLAST) at Host system for all FCCA and FCFD belonging to Resident as follows:

| Type of FCA | TLAST Status | Remarks |
|---|---|---|
| Investment | 65 | • FCA FD opened by Non Individuals unless customer request otherwise and provide supporting documents why the FCA needs to be a Trade FCA. |
| Trade | 66 | • FCA CA opened by Non Individuals unless customer request otherwise and provide |

| Type of FCA | TLAST Status | Remarks |
|---|---|---|
| | | supporting documents why the FCA needs to be an Investment FCA. |

**Note:**

- No tagging is required for FCCAs and FCFDs belonging to Non-Resident, including FCA open by Resident Intermediary to maintain funds belonging to Non-Resident. BNM counterparty code for these accounts should follow Non-Resident code.
- Any revisions or omissions during account opening, CBMO to perform the maintenance.
- The turnaround time (TAT) will be on the next working day.

Tagging is not required for FCCAs and FCFDs belonging to **Non-Resident, including FCA open by Resident Intermediary to maintain funds belonging to Non-Resident.** BNM counterparty code for these accounts should follow Non-Resident code.

Please refer to Appendix 7.4 for the Guide to Tag TLAST.

c. An exception report will be auto-generated to branches on a daily basis for all FCCA and FCFD for which the TLAST is not tagged or tagged correctly. Please refer to Appendix 7.5 for the sample of the Exception Report and the action to be taken by branches to rectify the same.

7.3.4 Restriction on Sources of Fund and Uses of FCA

It is important to distinguish between Trade and Investment FCA due to the restrictions to the sources and uses of funds for Trade and Investment FCA.

- Export proceeds **are not allowed** to be credited to Investment FCA.
- Funds in **Trade FCA** shall be used to **meet import, loan obligations and other current international transactions** such as payment for services: commission, royalties, wages, salaries, dividend payments, etc.
- Funds in **Investment FCA** can be used **for investment and any purposes** including payment for import and loan obligations.
- Transfer from Trade FCA to Investment FCA is **subject to the investment limit** for customer with domestic Ringgit borrowing.
- Transfer from Investment FCA to Trade FCA is allowed.
- Resident entity **must maintain Investment FCA** to undertake investment in foreign currency asset onshore and offshore.

Please refer to Appendix 7.6 for the approved sources and uses of funds into/from Trade and Investment FCA.

**END**